Random Reminiscences of Men and Events

John D. Rockefeller

A modern English edition

Rewritten in plain, present-day English from the 1909 Doubleday, Page & Company edition, which is in the public domain. Every chapter keeps the original’s order, stories, names, numbers, and meaning. Short notes in [square brackets] explain terms from the early 1900s.

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Preface

Probably everyone reaches a point in life when they want to look back over the events, big and small, that made up their work and their fun. I feel tempted to become a talkative old man and tell some stories about the people and things I have known during a busy life.

To some extent, I have worked alongside some of the most interesting people our country has produced, especially in business. These are men who did a great deal to build up the trade of the United States and who made its products known all over the world. The events I want to talk about seemed extremely important to me when they happened, and they still stand out clearly in my memory.

How far a person has the right to keep what he sees as his private affairs away from the public, or to defend himself when he is attacked, is an open question. If you talk about your own experiences, people are naturally tempted to accuse you of taking the easy road to vanity. If you stay silent, people sometimes assume you did something wrong, and that can be even harder to deal with, because they will say you have no real defense to offer.

It has not been my habit to push my affairs into public view. But I have come to see that if my family and friends want some record that might shed light on matters people have discussed a good deal, I should follow their advice. So, in this informal way, I will go back over some of the events that made life interesting to me.

There is one more reason for speaking now. If even a tenth of the things people have said are true, then the dozens of able and loyal men who worked with me, many of whom have died, must have been guilty of serious wrongs. For my own part, I had decided to say nothing. I hoped that after my death the truth would slowly come out and that future generations would judge fairly. But while I am alive and can speak about certain things, it seems fair for me to mention some points. I hope they will show several much-discussed events in a new light. I am convinced that people have not fully understood them.

All of this affects the memory of men who are dead and the lives of men who are still living. So it is only reasonable that the public should have some first-hand facts to use when it makes its final judgment.

When I began these Reminiscences, I had no idea that they would ever go so far as to become a book. I did not write them as even an informal autobiography. I paid little attention to order or sequence, and I never tried to make them complete.

It would have been a pleasure, and a satisfaction too, to write at some length about the close, daily friendships I

shared for so many years with my partners and colleagues. These experiences have always been among the great pleasures of my life. But I realize that a long account of them would not interest the reader. That is why I have mentioned the names of only a few of the many partners who worked so hard to build up the businesses I was part of.

J. D. R., March 1909

Chapter I: Some Old Friends

Since these Reminiscences really are what they claim to be, random and informal, I hope you will forgive me for writing down so many small things.

When I look back over my life, the memories that come to me most clearly are mental pictures of my old colleagues. As I talk about these friends in this chapter, I do not want anyone to think that the many others I do not mention were less important to me. I hope to return to the subject of my early friends in a later chapter.

You cannot always remember exactly how you first met an old friend, or what you first thought of him. But I will never forget my first meeting with Mr. John D. Archbold, who is now a vice-president of the Standard Oil Company.

At that time, about thirty-five or forty years ago, I was travelling around the country. I went to the places where things were happening, talked with the oil producers, the refiners, and the agents, and really got to know them.

One day there was a meeting of oil men somewhere near the oil regions. When I arrived at the hotel, which was full

of oil men, I saw this name written in large letters in the guest book:

John D. Archbold, $4.00 a barrel

He was a young and enthusiastic man, so full of his subject that he added his slogan, “$4.00 a barrel,” after his signature in the guest book, so that no one could mistake what he believed. The battle cry of $4.00 a barrel stood out even more because crude oil was selling for much less at the time. His campaign for a higher price certainly got attention. It was far too good to be true. Mr. Archbold eventually had to admit that crude oil is not worth “$4.00 a barrel.” But his enthusiasm, his energy, and his remarkable ability to lead men have lasted.

He has always had a good sense of humor. On one serious occasion, when he was testifying in court, the lawyer for the other side asked him:

“Mr. Archbold, are you a director of this company?”

“I am.”

“What is your job in this company?”

He answered right away, “To demand dividends.” This made the learned lawyer start over with a different line of questions.

I never stop being amazed at how hard he can work. I do not see him often now. He has big responsibilities, while I live like a farmer, far away from the action of business,

playing golf and planting trees. And yet I am so busy that no day is long enough.

Talking about Mr. Archbold makes me want to say again that I have received much more credit than I deserve for the Standard Oil Company. I was lucky enough to help bring together the capable men who are the guiding forces of the organization, and to work closely with them for many years. But they are the ones who did the hard work.

Most of my working relationships began so many years ago that I have now reached an age when hardly a month goes by (sometimes I think hardly a week) without my having to send a message of sympathy to a family we have been connected with, who have just lost someone. Not long ago I counted the names of my early colleagues who have died. Before I had finished, I found that the list had reached sixty or more. They were loyal and sincere friends. We had worked together through many difficulties and faced many hard trials together. We had discussed, argued, and kept working at questions until we came to agree. It has always made me happy to feel that we were open and honest with each other. Without this, business partners cannot get the best out of their work.

Getting strong, forceful men to agree is not always easy. Our policy has always been to listen patiently and discuss openly until every last piece of evidence is on the table. Only then do we try to reach a conclusion and make a final decision about what to do.

When you work with many partners, the cautious ones are likely to be the majority. This is probably a good thing when the sheer momentum of a large company is sure to carry it forward. The men who have been very successful tend to be cautious in the same measure, because they have a lot to lose if things go badly. But luckily there are also the bold and more daring ones. They are usually the youngest in the company. There may be only a few of them, but they are eager and persuasive.

They want to get things done and to move fast, and they do not mind any amount of work or responsibility. I remember one experience in particular when the cautious side met the progressive side, or should I say the daring side? Anyway, that was the side I was on in this case.

Arguments Versus Capital

One of my partners had successfully built up a large, profitable business. He was fighting with all his strength against a plan that some of us supported, to make some large improvements. The cost of expanding this business was estimated at a fairly large sum. I think it was three million dollars. We had talked it over again and again, and we had gone through all the arguments for and against it with several other partners. We had used every argument we could think of to show that the plan would not only be profitable, but was actually necessary to keep our lead. Our old partner was stubborn. He had made up his mind not to give in. I can still see him standing up to protest

strongly, with his hands in his pockets and his head thrown back, as he shouted, “No.”

It is a pity to push a man into a position in an argument where he is defending a position instead of looking at the evidence. He tends to lose his calm judgment. For the moment his mind is closed, and only stubbornness is left. Now, these improvements had to be made. As I said before, they were essential. Yet we could not fight with our old partner. A few of us had decided that we must try to get him to give in, and we decided to try a different line of argument. We said to him:

“You say we don’t need to spend this money?”

“No,” he answered. “It will probably be many years before we have to spend a sum like that. There’s no need right now for these facilities you want to build, and the plant is doing well as it is. Let’s leave things alone while they’re going well.”

Our partner was a very wise and experienced man, older than some of us and more familiar with the subject, and we admitted all of this to him. But, as I said, we had decided to carry out this plan if we could possibly get his approval, and we were willing to wait until then. Once the argument had calmed down and the heat of our discussion had passed, the subject was raised again. I had thought of a new way to approach it. I said:

“I’ll take it on and provide this money myself. If the spending turns out to be profitable, the company can pay me back. And if it goes wrong, I’ll take the loss.”

That was the argument that moved him. All his resistance disappeared, and the matter was settled when he said:

“If that’s how you feel about it, we’ll do it together. I guess I can take the risk if you can.”

I suppose in every business there is always the question of how fast it is wise to grow. We grew quite fast in those days, building and expanding in every direction. We were constantly facing new emergencies. A new oil field would be discovered, and storage tanks had to be built almost overnight. At the same time, old fields were running dry. So we were often under a double strain: we were losing the use of facilities in one place, where we were fully equipped, and we had to build a plant for storing and transporting oil in a new field where we were completely unprepared. These are some of the things that make the whole oil trade a risky one. But we had a group of brave men who understood an important principle: a business cannot be a great success unless it fully and efficiently accepts and makes use of its opportunities.

How often we discussed those difficult questions! Some of us wanted to jump right into big spending, and others wanted to keep to smaller amounts. Usually we reached a compromise. One at a time, we took up these matters and settled them. We never went as fast as the most progressive partners wanted, or quite as carefully as the cautious ones wanted, but in the end we always made the vote unanimous.

The Joy of Achievement

The role played by one of my earliest partners, Mr. H. M. Flagler, always inspired me. He always wanted to move forward and carry out big projects of every kind. He was always on the active side of every question, and much of the company's fast progress in the early days was due to his amazing energy.

You would expect a man like this to fulfill his destiny by solving some great problems at an age when most men want to retire to a comfortable, easy life. Retirement would not appeal to my old friend. He took on, by himself, the task of developing the East Coast of Florida. He was not satisfied with planning a railroad from St. Augustine to Key West, a distance of more than six hundred miles, which almost anyone would have considered a big enough project for one man. On top of that, he built a chain of excellent hotels to attract tourists to this newly developed region. And beyond that, he has had them run with great skill and success.

This one man, through his own energy and money, has opened up a huge stretch of land, so that the people who already lived there and the new settlers can have a market for what they produce. He has given work to thousands of these people. And to top it all off, he has taken on, and nearly finished, a remarkable engineering achievement: extending his railroad across the Florida Keys, out into the Atlantic Ocean, all the way to Key West, the goal he set years ago.

He has done almost all of this after what most men would have considered a full business career. A man of any other nationality in his position would have retired to enjoy the rewards of his work.

I first knew Mr. Flagler as a young man who sent farm produce to Clark & Rockefeller to be sold [the produce trading company Rockefeller co-owned as a young man]. He was a bright, active young man, full of energy and drive. Around the time we went into the oil business, Mr. Flagler set himself up as a commission merchant [a trader who sells goods for others in return for a percentage] in the same building as Mr. Clark, who had taken over the firm of Clark & Rockefeller. A little later, Mr. Flagler bought out Mr. Clark and combined Mr. Clark's business with his own.

Naturally, I started to see more of him. Our business relationship began with handling the produce he sent to our old firm, and it grew into a business friendship. People who lived in a fairly small place, as Cleveland was then, came into contact with each other much more often than they would in a city like New York. When the oil business was growing and we needed more help, I immediately thought of Mr. Flagler as a possible partner. I offered him a place with us if he would give up his commission business. He accepted, and that was the beginning of a lifelong friendship that has never been interrupted for a moment. It was a friendship built on business. Mr. Flagler used to say that this was much better than a business built

on friendship, and my experience makes me agree with him.

For many, many years, this early partner and I worked side by side. Our desks were in the same room. We both lived on Euclid Avenue, a short distance apart. We met and walked to the office together, walked home for lunch, walked back after lunch, and walked home again at night. On these walks, away from interruptions at the office, we did our thinking, talking, and planning together. Mr. Flagler wrote almost all of our contracts. He has always had the ability to express the meaning and purpose of a contract so clearly and accurately that no one could misunderstand it, and his contracts were fair to both sides. I remember him often saying that when you make an agreement, you must measure the rights and fair claims of both sides with the same ruler. That is how Henry M. Flagler did it.

There was one contract Mr. Flagler was asked to accept which, to my surprise, he approved right away without a single question. We had decided to buy the land that one of our refineries stood on. We had been renting it from John Irwin, whom we both knew well. Mr. Irwin wrote the contract for buying this land on the back of a large brown paper envelope that he picked up in the office. The description of the property went along the way such contracts usually do, until it reached the phrase “the line runs south to a mullein stalk [a tall weed],” and so on. This seemed a little vague to me, but Mr. Flagler said:

“It’s all right, John. I’ll accept that contract. When the deed comes in, you’ll see that the mullein stalk will be replaced by a proper marker post, and the whole document will be accurate and in good order.” Of course, it turned out exactly as he said it would. I am almost tempted to say that some lawyers could sit at his feet and learn a few things about writing contracts that would be good for them to know. But our lawyer friends might think I was biased, so I won’t push the point.

Another thing Mr. Flagler deserves great credit for, I think, is that in the early days he insisted that when we built a refinery, it should be different from the flimsy sheds that people usually built at the time. Everyone was so afraid that the oil would run out, and that the money spent on buildings would be wasted, that they put up the poorest and cheapest buildings to use as refineries. This was the kind of thing Mr. Flagler objected to. He had to admit that the oil supply might run out and that the risks of the trade were great. Still, he always believed that if we went into the oil business at all, we should do the work as well as we knew how. He believed we should have the very best facilities, that everything should be solid and strong, and that we should do everything possible to produce the best results. He acted on his belief by building as though the trade was going to last, and his courage in living up to his beliefs laid strong foundations for the years that followed.

A number of people still alive will be glad to remember the bright, honest young Flagler of those days. At the time when we bought certain refineries in Cleveland, he was

very active. One day he met an old friend on the street, a German baker he had sold flour to years before. His friend told him that he had left the bakery business and had built a small refinery. This surprised Mr. Flagler. He did not like the idea of his friend putting his small savings into a little plant that he was sure would fail. But at first there seemed to be nothing he could do about it. It stayed on his mind for several days. It clearly bothered him. Finally he came to me and said:

“That little baker knows more about baking than about refining oil, but I’d feel better if we invited him to join us. He’s on my conscience.”

Of course I agreed. He talked to his friend, who said he would gladly sell if we sent an expert to value his plant. We did, and then an unexpected problem came up. The price for the plant was acceptable, but the former baker insisted that Mr. Flagler advise him whether to take his payment in cash or in Standard Oil certificates [shares in the company] at their face value. He told Mr. Flagler that if he took cash, it would pay off all his debts, and he would be glad to have his mind free of many worries. But if Mr. Flagler said the certificates were going to pay good dividends, he wanted to get into a good thing and stay with it. This was a rather hard question to put to Mr. Flagler. At first he refused to give advice or any opinion. But the German stayed after him and would not let him escape a responsibility that was not really his at all. Finally, Mr. Flagler suggested that he take half the amount in cash and use it to pay off 50 percent of his debts, put the other

half into certificates, and see what happened. He did this, and as time went on he bought more certificates. Mr. Flagler never had to apologize for the advice he gave him. I am sure my old partner gave this matter as much time and thought as he gave to any of his own big problems, and this story can be taken as a measure of the man.

The Value of Friendships

But these old men's stories can hardly be interesting to the young people of today. Still, perhaps they will not be useless if even boring stories help young people understand that, above all other possessions, a friend is valuable in every area of life, without any exception at all.

There are so many different kinds of friends! You should hold on to all of them, whatever it costs. Some may be better than others, but a friend of any kind is important. You learn this as you get older.

There is the kind of friend who, when you need help, has a good reason, of course, why he cannot give it at that particular moment.

"I can't co-sign your loan," he says, "because I've promised my partners not to."

"I'd like to help you, but I can explain why I can't right now," and so on, and so on.

I do not mean to criticize this kind of friendship. Sometimes it is a matter of personality, and sometimes real

circumstances prevent a friend from doing what he would like to do. When I look back over my friends, I can remember only a few of this kind and many more of the more helpful kind. I had one special friend. His name was S. V. Harkness, and from the beginning of our friendship he seemed to trust me completely.

One day our oil warehouses and refinery burned to the ground in a few hours. They were completely destroyed. They were insured for many hundreds of thousands of dollars, but of course we were worried about collecting such a large insurance payment, and we feared it might take some time. That plant had to be rebuilt right away, and we needed to make our financial plans. Mr. Harkness had an interest in the business with us, and I said to him:

“I may need to ask you to lend me some money. I don’t know whether we’ll need it, but I thought I’d mention it to you ahead of time.”

He understood the situation without much explanation from me. He simply listened to what I had to say. He was a man of very few words.

“All right, J. D., I’ll give you everything I have.”

That was all he said, but I went home that night with my worries gone. As it turned out, we received the check from the Liverpool, London & Globe Insurance Company for the full amount before the builders needed to be paid. So we did not need his money, but I will never forget how wholeheartedly he offered it.

I am grateful to say that this kind of experience was not rare for me. I borrowed a great deal in my early days. The business was busy and growing fast, and the banks seemed very willing to lend me the money. Around this time, when our great fire had created some new conditions, I was studying the situation to work out how much cash we would need. We were used to preparing for financial emergencies long before we needed the money.

Something else happened at this time that again showed what real friends we had in those days, although I did not hear the full story until many years later.

There was one bank we had done a lot of business with. A friend of mine, Mr. Stillman Witt, a rich man, was one of its directors. At a meeting, the question came up of what the bank would do if we wanted more money. So that no one could doubt where he stood on the matter, Mr. Witt asked for his strongbox and said:

“Here, gentlemen. These young men are completely reliable, and if they want to borrow more money, I want to see this bank lend it to them without hesitation. And if you want more security, here it is. Take what you want.”

At that time we were shipping a large amount of oil by lake and canal to save on transportation costs. It took extra capital to pay for these shipments, so we needed to borrow a large amount of money. We had already taken large loans from another bank. Its president told me that his board of directors had been asking questions about the large amount of credit we were using, and had said they would

probably want to talk with me about it. I answered that I would be very glad to have the chance to meet the board, because we would need a great deal more money from the bank. To keep it short: we got all we wanted, and I was never asked to come in and explain anything further.

But I am afraid I am talking too much about banks and money and business. I know of nothing more contemptible and pitiful than a man who spends all his waking hours making money just for the sake of money. If I were forty years younger, I would like to go into business again, because working with interesting and quick-thinking men was always a great pleasure. But I have no shortage of interests to fill my days, and as long as I live I expect to keep developing the plans that have inspired me all my life.

During my whole long working life, from the age of sixteen until I retired from active business at fifty-five, I have to admit that I managed to take quite a lot of vacations of one kind or another. This was because my very capable colleagues were willing to take on the burdens of the business, which they were extremely well qualified to run.

I feel I have done my full share of detailed work. Since I started my business life as a bookkeeper, I learned to have great respect for numbers and facts, no matter how small they were. In my earlier years, whenever some accounting work needed to be done for a plan I was involved in, I usually found that I had been chosen to do it. I had a passion for detail, which I later had to work hard to tone down.

At Pocantico Hills, New York, I have spent part of my time for many years in an old house where the beautiful views lift the spirit and where we can live simply and quietly. I have spent many delightful hours there, studying the lovely views, the trees, and the fine landscapes of that very interesting part of the Hudson River. And I did this in the days when it seemed that I needed every minute for the demanding work of business. So I am afraid that once I got well started, I was not what you might call a “diligent” businessman.

This phrase, “diligent in business,” reminds me of an old friend of mine in Cleveland who was devoted to his work. I talked to him, and no doubt bored him terribly, about my special hobby. Some people call it landscape gardening, but for me it is the art of laying out roads and paths and work of that kind. This friend, thirty-five years ago, clearly disapproved of a businessman wasting his time on what he saw as pure foolishness.

One beautiful spring day I suggested that he spend the afternoon with me (a very unusual and reckless suggestion for a businessman to make in those days) and see some beautiful paths through the woods on my property that I had been planning and had almost finished. I even told him I would give him a real treat.

“I can’t, John,” he said. “I have an important business matter to deal with this afternoon.”

“That may be true,” I urged, “but it won’t give you anything like the pleasure you’ll get when you see those paths, with the big trees on each side and—”

“Go on, John, with your talk about trees and paths. I tell you, I’ve got an ore ship coming in, and our mills are waiting for her.” He rubbed his hands with satisfaction. “I wouldn’t miss seeing her come in for all the woodland paths in the world.” At that time he was getting $120 to $130 a ton for Bessemer steel rails [steel railroad tracks made by the newest method of the time], and if his mill stopped for even a minute waiting for ore, he felt he was missing the chance of a lifetime.

Perhaps it was this same man who often stared out at the lake, with every nerve strained, trying to see an ore ship coming in. One day one of his friends asked him if he could see the boat.

“No-o, no-o,” he admitted unwillingly, “but she’s almost in sight.”

The iron ore trade was hugely and completely fascinating to people in Cleveland. Fifty years ago, my old employer was paid $4 a ton for carrying ore from the Marquette region. And just think of the wickedness of this maker of woodland paths, who in later years was moving ore in huge ships for eighty cents a ton and making a fortune doing it!

All this reminds me of my experiences in the ore business, but I will get to that later. I want to say something about

landscape gardening, which I have spent a great deal of time on for more than thirty years.

The Pleasures of Road Planning

Like my old friend, others may be surprised that I claim to be an amateur landscape architect in a small way. My family have even been known to hire a great landscape expert to make quite sure I did not ruin the property. The question was exactly where to put the new house at Pocantico Hills, which was recently built. I thought I had an advantage because I knew every foot of the land. All the old big trees were personal friends of mine, and I knew the views from every spot perfectly. I had studied them hundreds of times. After this great landscape architect had drawn up his plans and driven in his lines of stakes, I asked if I could see what I could do with the job.

In a few days I had worked out a plan designed so that the roads caught the very best views at exactly the right angles. As you drove up the hill, you came upon impressive views, and at the end there was a final burst of river, hills, clouds, and a great sweep of countryside to top it all off. I placed my stakes to show where I suggested the roads should go, and finally the exact spot where the house should stand.

“Look it all over,” I said, “and decide which plan is best.” It was a proud moment when this real expert accepted my suggestions as the ones that best brought out the finest spots for views, and agreed on the site for the house. I can

hardly count how many miles of roads I have laid out in my life, but I have often kept at it until I was exhausted. When surveying roads, I have kept marking out the lines until it was too dark to see the little stakes and flags. It is very vain of me to talk about these landscaping projects, but perhaps they will balance out the business talk that takes up so much of my story.

My way of handling business differed from that of most well-run merchants of my time, and it gave me more freedom. Even after the main operations of the Standard Oil Company moved to New York, I spent most of my summers at our home in Cleveland, and I still do. I would come to New York when it seemed necessary for me to be there, but for the most part I kept in touch with the business through our own telegraph lines. This left me free to attend to many things that interested me, including making paths, planting trees, and setting out little forests of young trees.

Of all the profitable things that grow quickly under your hands, I think my young tree nurseries give the greatest return. We keep a set of account books for each property. Not long ago, when we moved some young trees from Westchester County to Lakewood, New Jersey, I was amazed at how much a few years of growth increases their value. We plant our young trees, especially evergreens, by the thousand. I think we have planted as many as ten thousand at once and let them grow, to be used later in some of our planting projects. If we move young trees from Pocantico to our home in Lakewood, we charge one

property and credit the other for these trees at the market price. We are our own best customers. We make a small fortune out of ourselves by selling trees to our New Jersey property at $1.50 or $2.00 each, trees that originally cost us only five or ten cents at Pocantico.

With nursery trees, as with other things, the advantage of working on a large scale shows itself. For years, saving and moving large trees, say trees from ten to twenty inches across, or even more in some cases, has given me great interest and satisfaction. We build our tree-moving machines ourselves and work with our own men. It is truly surprising what you can get away with when handling trees, once you learn how to manage these giants. We have moved trees ninety feet tall, and many that were seventy or eighty feet. Naturally, these are far from young. At one time or another we have tried almost every kind of tree, including some that the experts said could not be moved successfully. Perhaps our boldest experiments were with horse-chestnuts. We dug up large trees and carried them long distances, some of them after they were already in flower, at a cost of twenty dollars per tree, and we lost very few. We were so successful that we became rather reckless and tried experiments out of season. But when we followed methods we had already tested, our results were remarkably good.

Taking into account our experience with many hundreds of trees of different kinds, in and out of season, and including the time when we were still learning the skill, our total losses have been less than 10 percent, probably closer to 6

or 7 percent. In one season, we carried out a whole tree-moving campaign with losses of only about 3 percent. I am willing to admit that the growth of the larger trees has been slowed down by perhaps two years. But this is a small matter, because people who are no longer young want to get the effects they want right away, and the modern tree-moving machine does that. We have grouped and arranged clusters of big spruces to suit our purposes, and sometimes we have completely covered a hillside with them. We have not been successful with oaks, except fairly young ones, and we do not try to move oaks and hickories when they are close to full-grown. But we have had some successful experiments with basswood, and we have moved one of these three times without harming it. Birches have usually defeated us, but evergreens, except cedars, have almost always been moved successfully.

This planning for good views must have been a passion of mine from an early age. I remember that when I was hardly more than a boy, I wanted to cut down a big tree that I thought blocked the view from the dining-room windows of our home. I was in favor of cutting it down, but some other members of the family objected. My dear mother, though, I think, was on my side, because one day she said: “You know, my son, we have breakfast at eight o’clock. I think if the tree were cut down some time before we sat down at the table, there would probably be no great complaint when the family saw the view that the fallen tree revealed.”

And that is how it turned out.

Chapter II: The Difficult Art of Getting

I owe my father a great debt, because he trained me himself to be practical. He was involved in several different businesses. He used to tell me about them and explain what they meant, and he taught me the principles and methods of business. From early childhood I kept a little notebook, which I remember calling Ledger A. I still have it. In it I recorded the money I received and the money I spent, as well as the small amounts I was taught to give away regularly.

Naturally, families without much money live closer together than families who have plenty of servants to do everything for them. I consider it a blessing that I grew up in the first kind of family. When I was seven or eight years old, I started my first business, with my mother’s help. I owned some turkeys, and she gave me the curds from the milk to feed them. I looked after the birds myself and sold them all in a businesslike way. Everything I earned was profit, since I did not have to pay any of the costs, and I kept my records as carefully as I knew how.

We really enjoyed this little business. I can still close my eyes and clearly see those gentle, dignified birds walking quietly along the stream and through the woods, carefully sneaking back to their nests. Even today I enjoy seeing a flock of turkeys, and I never miss a chance to watch them.

My mother was quite strict. When the family's behavior started to slip, she kept up our standards with a birch switch [a thin stick used for whipping]. Once, I was being punished for some trouble that had happened at the village school. After the whipping had already started, I felt I had to explain that I had not done what I was accused of.

"Never mind," my mother said. "We have started this whipping, and it will count for next time." She kept to this attitude in many ways, right to the end. One night, I remember, we boys could not resist going skating in the moonlight, even though we had been clearly told not to skate at night. We had barely started when we heard a cry for help. A neighbor had fallen through the ice and was in danger of drowning. We pushed a pole out to him, pulled him out, and brought him home safe and well to his grateful family. Since we were not usually expected to save a man's life every time we went skating, my brother William and I felt there were special circumstances here. We hoped they might be taken into account when our disobedience was judged. That hope turned out to be wrong.

Starting at Work

The plan had been to send me to college. But when I was sixteen, it seemed best for me to leave high school, where I had nearly finished the course, and go to a business school in Cleveland for a few months. They taught bookkeeping and some of the basic principles of business deals. This training lasted only a few months, but it was very valuable to me. The real question, though, was how to get a job. I walked the streets for days and weeks, asking merchants and shopkeepers if they needed a boy. Nobody was very interested in what I was offering. No one wanted a boy, and very few seemed at all eager to talk to me about it. Finally, one man on the Cleveland docks told me I could come back after lunch. I was thrilled. It looked like I might finally get a start.

I was terribly nervous that I might lose the one opportunity I had found. When what seemed to me the right time finally came, I showed up in front of the man I hoped would hire me.

“We will give you a chance,” he said. But we did not say a single word about pay.

This was September 26, 1855. I happily went to work. The company was called Hewitt & Tuttle.

I had some advantages when I started. As I have said, my father’s training had been practical, and the business school had taught me the basics of business, so I had a foundation to build on. I was also lucky to work under the

bookkeeper, who was a strict but fair supervisor and who liked me.

When January 1856 came, Mr. Tuttle gave me $50 for my three months of work. That was surely all I was worth, and I was completely satisfied with it.

For the next year I kept my job at $25 a month, learning the details and office work of this kind of business. The company bought and sold farm produce for other people on commission and arranged shipping for it. My job was mainly the office work. Directly above me was the company's bookkeeper. He was a member of the firm, and instead of a share of the profits he was paid a salary of $2,000 a year. When he left at the end of the first business year, I took over his office and bookkeeping work, and I was paid $500 a year for it.

When I look back on this period of business training, I can see that it had a very important influence on everything that came later.

First of all, I worked in the owners' own office. I was almost always there when they discussed their affairs, made their plans, and decided what to do. This gave me an advantage over other boys my age who were quicker than me and better at arithmetic and handwriting. The company's business had so many branches that this education covered a lot. They owned houses, warehouses, and buildings that were rented out as offices and for many other uses, and I had to collect the rent. They shipped goods by railroad, canal, and lake. Many different kinds of

deals and negotiations were going on, and I was closely involved in all of them.

So my work was much more interesting than the work of an office boy in a large company today. I really enjoyed it. Little by little, checking the accounts was left to me. Every bill had to be approved by me first, and I took this job very seriously.

One day, I remember, I was in a neighbor's office when the local plumber came in with a bill about a yard [almost a meter] long. This neighbor was an extremely busy man. He was involved in what seemed to me an endless number of businesses. He just glanced at the long, boring bill, turned to his bookkeeper, and said:

"Please pay this bill."

I was studying bills from the same plumber in great detail. I checked every item, even when only a few cents were involved, and I found that this was very much in my company's interest. So I did not like this careless way of doing business. I had trained myself to think in a way that many young people in business today probably also think: my approval on a bill was the official act that released my employer's money from the cash drawer, and it carried more responsibility than spending my own money. I decided that business done in that careless way could not succeed.

Approving bills, collecting rent, settling claims, and similar work brought me into contact with many different kinds of people. I had to learn how to get along with all of them

while keeping their relationship with the company friendly. One kind of negotiation in particular came to me, and it took all the skill I had to handle it successfully.

For example, we would receive a shipment of marble from Vermont to Cleveland. It traveled by railroad, canal boat, and lake boat. If anything was lost or damaged, the cost somehow had to be divided among these three different shipping companies. It took all the cleverness a seventeen-year-old boy had to solve this problem in a way that satisfied everyone involved, including my employers. But I did not see the job as a burden, and as far as I can remember, I never had a serious disagreement with any of these shipping companies. Handling all kinds of deals at such an impressionable age, with my bosses ready to help me in an emergency, was very interesting to me. It was my first step in learning the principles of negotiation, which I hope to talk about later.

I am sure that the training that comes from working for someone else, someone we feel responsible to, was very valuable to me.

I would guess that salaries back then were much less than half of what people are paid for the same jobs today. The next year I was offered a salary of $700, but I thought I was worth $800. We still had not settled the question by April. By then, a good chance had come up to do the same kind of business for myself, so I quit my job.

In those days in Cleveland, almost everyone in town knew almost everyone else. Among the merchants was a young

Englishman named M. B. Clark, maybe ten years older than me. He wanted to start a business and was looking for a partner. He had $2,000 to put into the company and wanted a partner who could put in the same amount. This seemed like a good opportunity for me. I had saved $700 or $800, but I did not know where to get the rest.

I talked it over with my father. He told me he had always planned to give each of his children $1,000 when they turned twenty-one. He said that if I wanted my share now instead of waiting, he would lend it to me in advance, and I could pay him interest on it until I turned twenty-one.

“But, John,” he added, “the rate is ten.”

At that time, 10 percent interest a year was a very common rate for loans like this. Banks might have charged a little less. But of course banks could not meet all the demand for money, so a lot of people borrowed privately at high rates. Since I needed the money for the partnership, I gladly accepted my father’s offer. So I started in business as the junior partner of the new firm, which was called Clark & Rockefeller.

Being my own boss was a wonderful feeling. Inside, I was bursting with pride: a partner in a company with $4,000 in capital! Mr. Clark handled the buying and selling, and I took charge of the money and the books. We quickly started doing a lot of business, dealing in whole train carloads and boatloads of produce. Naturally, we soon needed more money to handle the growing trade. The only

thing to do was to try to borrow from a bank. But would a bank lend to us?

The First Loan

I went to a bank president whom I knew and who knew me. I remember exactly how badly I wanted that loan and how much I wanted to make a good impression on the banker. He was T. P. Handy, a kind and gentle old man, well known as a person of excellent and beautiful character. For fifty years he took an interest in young men. He had known me as a boy in the Cleveland schools. I gave him all the details of our business and told him openly about our affairs: what we wanted to use the money for, and so on. I waited for his answer, almost shaking with eagerness.

“How much do you want?” he asked.

“Two thousand dollars.”

“All right, Mr. Rockefeller, you can have it,” he answered. “Just give me your own warehouse receipts. They’re good enough for me.”

When I left that bank, I was happier than you can imagine. I held my head high. Just think of it: a bank had trusted me with $2,000! I felt that I was now an important man in the community.

For many years afterward, the head of this bank was a true friend. He lent me money when I needed it, and I needed it almost all the time, and I needed all the money he had. Later, I was very glad to be able to go to him and advise

him to make a certain investment in Standard Oil stock. He said he would like to, but he did not have that amount of money available at the moment. So, at my suggestion, I became the banker and lent it to him. In the end he got back all the money he had put in, plus a very large profit. Even this many years later, I am happy to speak publicly about his great kindness and his faith in me.

Sticking to Business Principles

Mr. Handy trusted me because he believed we would run our young business carefully and properly. I clearly remember an example from around this time of how hard it can be to follow what you know is the right business principle. Not long after we started, our best customer, meaning the man who sent us the most goods to sell, asked to be allowed to draw money in advance on his current shipments, before we actually had the produce or the bill of lading [the shipping document that proves the goods were sent] in our hands. Of course we wanted to please this important man. But as the partner in charge of finances, I objected, even though I was afraid we would lose his business.

The situation seemed very serious. My partner was annoyed with me for refusing to give in. Facing this hard choice, I decided to go and see the customer in person and try to persuade him to change his mind. I had usually been very successful at winning people’s friendship when I met them face to face, and my partner’s displeasure made me determined to prove myself. I felt that once I talked with

this man, I could convince him that what he was asking for would set a bad example. My reasoning, at least in my own head, was logical and convincing. I went to see him and presented all the arguments I had so carefully prepared. But he got angry and stormed around, and in the end I had the extra embarrassment of admitting to my partner that I had failed.

I had achieved absolutely nothing.

Naturally, my partner was very upset at the possibility of losing our most valuable customer. But I insisted. We stuck to our principles and refused to give the shipper the special arrangement he had asked for. To our surprise and delight, he kept doing business with us as if nothing had happened, and he never mentioned the matter again. I later learned that an old country banker named John Gardener, from Norwalk, Ohio, who had a lot of dealings with our customer, had been watching this little affair closely. I have always believed since then that he was the one who came up with the idea of tempting us to do what we said we did not do, as a test. And the story he told about how firmly we stood by what we considered sound business principles did us a lot of good.

Around this time I started going out to look for new business, something I had never tried before. I set out to visit every person in our part of the country who had anything to do with the kind of business we were in, and I covered most of the states of Ohio and Indiana. I decided the best way to do this was simply to introduce our company and not push for immediate shipments. I told

them that I represented Clark & Rockefeller, commission merchants. I said I did not want to interfere with any business relationships they already had, but that if the chance came up, we would be glad to work for them, and so on.

To our great surprise, business came in so fast that we hardly knew how to handle it. In our first year, our sales reached half a million dollars.

Back then, and for many years afterward, it seemed as if there was no limit to the money we needed to keep the business going and growing. As we began to succeed, I rarely went to sleep at night without saying a few words to myself, like this:

“Now you have a little success. Soon you will fall down. Soon you will be knocked over. Just because you have made a start, you think you are quite a merchant. Be careful, or you will lose your head. Stay steady.” I am sure these private conversations with myself had a big influence on my life. I was afraid I could not handle success, and I tried to teach myself not to become proud and full of foolish ideas.

I borrowed from my father many times. Our money arrangements caused me some worry, and they were not as funny then as they seem now when I look back. Sometimes he would come to me and say that if I needed money for the business, he could lend me some. Since I always needed capital, I was very glad to get it, even at 10

percent interest. But just when I needed the money most, he was likely to say:

“My son, I find I need that money back.”

“Of course, you’ll have it right away,” I would answer. But I knew he was testing me. I knew that after I paid him, he would keep the money for a while without it earning anything, and then offer to lend it to me again later. I admit that this little lesson should have been good for me, and maybe it was. But although I hid it from him, the truth is that I was not especially happy about his tests to see whether my financial skills could handle such shocks.

Interest at 10 Percent

These experiences with my father remind me that in the early days, there was a lot of argument about how much people should pay to borrow money. Many people complained that a rate of 10 percent was outrageous and that only an evil person would charge so much. I used to argue that money was worth what it could earn. Nobody would pay 10 percent, or 5 percent, or 3 percent unless the borrower believed it would be profitable to use the money at that rate. Since I was always the borrower in those days, I certainly was not arguing for paying more than necessary.

Some of the longest and most heated arguments I ever had were with the dear old lady who ran the boarding house where my brother William and I lived when we were away from home at school. I really enjoyed these talks. She was

a smart woman and a good talker, and since she charged us only a dollar a week for our room and meals, and fed us well, I was definitely her friend. That was about the normal price for room and board in small towns in those days, where almost all the food was grown on the property.

This excellent lady was strongly against lenders getting high interest rates, and we argued about it often and seriously. She knew I was used to making loans for my father, and she knew what rates we got. But all the arguments in the world did not change the rate. It went down only when there was more money available to lend.

I have usually found that important changes in public opinion about business matters grow slowly, following economic ideas that have been proven to work. Improvements in these relationships have very rarely come from laws that were made in a hurry.

It is hard to imagine today how difficult it was to get capital for active businesses back then. Farther west, people paid much higher rates. These usually applied to personal loans that carried a business risk, but they show how different conditions were for young businessmen then compared with now.

A Quick-Moving Borrower

Talking about borrowing from banks reminds me of one of the hardest money-raising efforts I ever made. We needed to raise money to accept an offer for a large business deal. It took many hundreds of thousands of dollars, and it had

to be in cash. Stocks and bonds would not do. I got the message around noon and had to leave on the three o'clock train. I drove from bank to bank and asked each president or cashier, whoever I could find first, to get ready all the money he could possibly gather for me. I told them I would come back for it later. I went around to all of our banks in the city, then made a second trip to collect the money, and kept going until I had the full amount. With it, I caught the three o'clock train and completed the deal.

In those early days I traveled a lot. I visited our plants, made new business connections, met people, and made plans to expand our business. It often required very fast work.

Raising Church Funds

When I was only seventeen or eighteen, I was elected a trustee of my church. It was a mission branch, and sometimes I heard members of the main church talk about our mission as if it were not quite as good as the big mother church. This made us even more determined to show them we could manage on our own.

Our first church building was not very impressive, and it had a $2,000 mortgage on it that had been discouraging everyone for years. The man who held the mortgage had been demanding payment for a long time, but somehow we could barely even keep up with the interest. Finally, the lender threatened to sell the building to get his money. As it happened, the lender was a deacon in the church. Even

so, he felt he should get his money back, and maybe he really did need it. Either way, he planned to do whatever was necessary to get it. Things came to a head one Sunday morning, when the minister announced from the pulpit that the $2,000 had to be raised or we would lose our church building. So I stood at the church door as the congregation came in and went out.

As each member walked by, I stopped him and got him to promise to give something toward paying off the debt. I begged and pushed, and almost threatened. As each person promised, I wrote his name and the amount in my little book, and I kept asking everyone who might possibly give.

This fundraising campaign, which started that morning after church, went on for several months. It was a huge job to raise that much money in small amounts, ranging from a few cents up to the grander promises of twenty-five or fifty cents a week. The project completely absorbed me. I gave what I could, and this and similar projects that I was always involved in first made me want to earn more money.

At last all $2,000 was collected, and the day the debt was paid off was a proud one. I hope the members of the mother church felt properly embarrassed to see how far we had gone beyond what they expected of us. But I do not remember them actually showing the surprise that we liked to think they must have felt.

My fundraising experiences at that time were full of interest. I took on the job with pride rather than embarrassment, and I kept doing it until my growing work and responsibilities forced me to hand the detailed work over to others.

Chapter III: The Standard Oil Company

In an organization with a great many people, it would be surprising if there were not an occasional employee here and there who behaved in a way that could be criticized, either in the company's business or in his own private affairs. Even in a fairly small organization, it is almost impossible to hold back the occasional man who is too eager to get ahead, for himself or for his company. It would clearly be unfair to judge the character of everyone in a large organization, or the organization itself, by what a few individuals do.

People have said that I forced the men who became my partners in the oil business to join me. I would not have been so shortsighted. If I had really used such tactics, I ask you: could these men have become my lifelong companions? Would they have accepted positions of the greatest trust and stayed in them for many years? And finally, if they had been bullied like that, could anyone have turned them into a group that has worked together loyally and in harmony all these years? This group has dealt fairly with each other and with outsiders, it has kept

building up its efficiency, and it has acted in complete unity. This powerful organization has not only survived, but has become even more efficient. I have been out of business for fourteen years, and in eight or ten of those years I went to the company's office only once.

In the summer of 1907, I visited once more the room at the top of the Standard Oil Company's building, where the officers of the company and the heads of departments have eaten lunch together for many years. I was surprised to see how many men had risen to important positions since my last visit years before. Afterward, I had a chance to talk with old colleagues and many new ones. It gave me great satisfaction to find that the same spirit of cooperation and harmony was still there, unchanged. This habit of eating lunch together, a hundred or more people at long tables, in a very close and friendly way, is more evidence for what I am saying, even if it seems like a small thing at first. Would these people look for each other's company day after day if they had been forced into this relationship? People in that kind of situation do not stay in a pleasant, friendly closeness for long.

For years the Standard Oil Company has grown step by step. I am convinced that it has done its job well: supplying people with petroleum products at prices that have gone down as the business has become more efficient. It gradually expanded its services, first to the big cities, then to towns, and now to the smallest places. It goes right to its customers' homes and delivers the oil at times that suit the people who actually use it. The same system is now

being used in many parts of the world. For example, the company has three thousand tank wagons [horse-drawn wagons carrying oil tanks] that supply American oil to towns and even tiny villages in Europe. In Japan, China, India, and the other main countries of the world, its own depots and employees deliver oil in a fairly similar way. Do you think this trade was built up by anything except hard work?

This plan of selling our products directly to the consumer, along with the unusually fast growth of the business, created a certain amount of hostility. I suppose this could not have been avoided. But since then, others in many kinds of business have followed the same idea of dealing directly with the consumer, and as far as I remember, it has not caused them any serious opposition.

This is a very interesting and important point. I have often wondered whether the criticism aimed at us came from the fact that we were among the first, perhaps the very first, to solve the problems of selling directly to the user on a large scale. We did this in a fair spirit, with proper respect for everyone's rights. We did not ruthlessly go after our competitors' customers and try to ruin their business by cutting prices or setting up a spy system. We had given ourselves the job of increasing the amount of oil people used, as fast and as widely as possible. Let me try to explain exactly what happened.

To take full advantage of our manufacturing facilities, we looked for the biggest possible market in every country. We needed volume. To get it, we had to create selling

methods far ahead of anything that existed at the time. We had to sell two, three, or four gallons of oil where only one had been sold before, and we could not depend on the normal trade channels of the day to do this. We never intended to interfere with a dealer who was doing a good job of serving his area. But when we saw a new opportunity, or a new place where better and more effective facilities could increase sales, we made it our business to provide them. In this way we opened up many new lines of business, which others have also shared in. As we grew, we had to hire many fairly new men. Of course, the ideal way to fill higher positions is to promote men from among the youngest people already working for the company, but we were growing too fast to do this every time. It would not be surprising to learn that some of these employees were too aggressive in going after sales. But when they did this, they were going against the stated and well-known wishes of the company. Even so, I am convinced that such cases happened so rarely, compared with the huge number of deals we made, that they were truly the exceptions that proved the rule.

Every week of the year, for many, many years, this company has brought more than a million dollars in gold into this country, all from products made by American workers. I am proud of this record, and I believe most Americans will be too once they understand some things better. These achievements cost huge amounts of money: building up this great foreign trade, owning ships to carry the oil in bulk in the cheapest way, and sending men out to compete for the world’s markets. The enormous capital

this required could not be raised or managed by anything except an organization like the Standard is today.

To give a true picture of the early days, you have to understand that the oil industry was seen as an extremely risky business. It was not completely unlike the speculative mining ventures we hear so much about today. I clearly remember my old and respected friend, the Reverend Thomas W. Armitage, who was pastor of a large New York church for about forty years. He warned me that expanding our plants and operations was worse than foolish. He was sure we were taking risks we had no reason to take. He thought our oil supply would probably run out and that demand would fall. He, along with many others (sometimes I thought almost everyone), predicted we would be ruined.

None of us ever imagined how huge the later growth would turn out to be. We did each day's work as it came, looking ahead to what we could see in the distance and keeping up with our opportunities, but always building our foundations firmly. As I have said, capital was very hard to get, and it was not easy to get careful, conservative men interested in such an adventurous business. Wealthy men were afraid of it, although in rare cases some investors were persuaded to join us in a limited way. If they bought our stock at all, they bought a little now and then, as an experiment. We were painfully aware that they often refused to buy new stock, while giving us many lovely words of appreciation.

Because the business was so new and unfamiliar, and because some stockholders were afraid it would fail, we often had to buy stock ourselves so that it would not go unsold. But we had so much confidence in the basic value of the company that we were willing to take that risk. In a venture like this, there are always a few men who would risk everything on their judgment of how it will turn out in the end. If the business had failed, these men would have been called dreamers and gamblers, and perhaps they would have deserved it.

The 60,000 men who work for the company are kept busy all year, every year. The past year has been a time of serious economic slowdown, but the Standard has carried on with its plans without stopping. Its new factories and buildings have not been delayed by a lack of capital or by fear of hard times. It pays its workers well, takes care of them when they are sick, and gives them pensions when they are old. It has never had any major strikes. If there is any better role for business management than giving employees well-paid work year after year, in good times and bad, I do not know what it is.

Another thing to remember about this so-called “octopus” is that no “water” has ever been added to its capital [that is, no extra stock was issued that was not backed by real value] (perhaps we felt that oil and water would not have mixed). In all these years, no one has ever had to wait for money the Standard owed them. The company has suffered from big fires and losses, but it has handled its affairs so well that it has never needed to ask the general

public to buy large blocks of its bonds or stock. It has never used underwriting syndicates [groups of bankers who sell a company's stock to the public] or stock-selling schemes of any kind, and it has always found a way to pay for operations in new oil fields when needed.

You often hear people say that this company has crushed its competitors. Only people who do not know the facts could say this. It has always had hundreds of active competitors, it has them now, and it always will. It has survived only because it has run its business well, efficiently, and with great energy. Let me talk about competition for a minute. Think not only of the skilled people who compete with us in refining oil, but also of all the competition in the many trades that make and sell by-products, a wide variety of different businesses. Perhaps even more important is the competition in foreign countries. The Standard is always fighting to sell the American product against oil from the great fields of Russia, which competes for the European market, and against Burma oil, which has a big effect on the market in India. In all these countries we face tariffs [import taxes] raised against us, local prejudices, and unfamiliar customs. In many countries we had to teach the people to burn oil by making lamps for them, as we did with the Chinese, for example. We packed the oil so that it could be carried by camels, or on the backs of runners, to the most remote parts of the world. We adapted our trade to the needs of people very different from us. Every time we succeeded in a foreign country, it meant dollars coming into this

country. Every time we failed, it was a loss to our nation and its workers.

One of our greatest helpers has been the State Department in Washington. Our ambassadors, ministers, and consuls have done everything they could to help us push into new markets in the farthest corners of the world.

I think I can speak this openly and enthusiastically because many of these great plans have mostly been carried out since I retired from the business fourteen years ago.

The Standard does not have, and never did have, an easy road to the top. Its success is not due to any one man, but to the many able men who work together. If the company's present managers stopped trying so hard, let the quality of their product get worse, or treated their customers badly, how long would their business last? About as long as any other neglected business. Reading some of the reports about the company's affairs, you would think it had such a grip on the oil trade that the directors did little except meet and announce dividends. I am glad to take this chance to praise the work these men are doing, not only for the company they serve, but also for our country's foreign trade, because more than half of everything the company makes is sold outside the United States. If these directors were replaced and the business were run by anyone but experts, I would sell my share for whatever price I could get. Succeeding in business requires the best and most dedicated men to manage it, and the best men

rise to the top. I will talk about the company's beginnings and early plans later.

The Modern Corporation

There is no doubt that people are suspicious of corporations. Very often there may be a reason for this suspicion, because a corporation can be moral or immoral, just as a person can be moral or the opposite. But it is foolish to condemn all corporations because some are bad, or even to be overly suspicious of all of them because some are bad. One thing you can count on is that the corporation, in its form and character, is here to stay. Even small firms are becoming corporations, because it is a convenient form of partnership.

It is just as true that combinations of capital will continue and grow. This does not need to worry even the most nervous person, as long as the corporation, or the group of corporations, is run properly and with respect for the rights of others. The days of individual competition in big business are over. You might as well argue that we should go back to working by hand and throw away our efficient machines. When people have studied this and tried it out, their good common sense will lead them to accept it. Just look at how fast the number of stockholders in the big corporations is growing. This means all these people are becoming partners in great businesses. That is a good thing. It will make the managers of corporations feel more responsible, and it will make the people who have money

invested study the facts fairly before they condemn or attack these companies.

I have often given my opinions on this subject of industrial combinations. Since I have not changed my mind, I do not mind repeating them now, especially because the subject seems to be getting so much public attention again.

The main advantages of industrial combinations come from people cooperating and from bringing capital together. Much that one man cannot do alone, two can do together. Once you accept that cooperation (or combination, which is the same thing) is necessary on a small scale, the only limit is what the business needs. Two people in a partnership may be a big enough combination for a small business. But if the business grows, or can be made to grow, more people and more capital must be brought in. The business may grow so large that a partnership is no longer the right tool for it, and then a corporation becomes necessary. In most countries, such as England, a single corporation is enough for a business that covers the whole home country, but that is not the case in America. Under our federal system of government, a corporation created by one state is treated as foreign in every other state. So people who do business through corporations have to set up corporations in some or many of the states where their business operates. Instead of working through one corporation, they must work through several. If the business expands into foreign countries (and Americans today are not satisfied with home markets alone), it will be useful and perhaps necessary to set up corporations in

those countries too, because Europeans are prejudiced against foreign corporations, just as the people of many of our states are. These different corporations then become partners working in the same business, and they are held together by shared ownership of their stock.

It is too late to argue about the advantages of industrial combinations. They are a necessity. And if Americans are to have the right to expand their business into every state of the Union, and into foreign countries as well, combinations are a necessity on a large scale and require more than one corporation.

The dangers are that the power gained through combination may be abused, that combinations may be formed to speculate in stocks rather than to run a business, and that, for this purpose, prices may be raised for a while instead of lowered. These abuses are possible, to a greater or lesser degree, in all combinations, large or small. But this is no more an argument against combinations than the fact that steam can explode is an argument against steam. Steam is necessary, and it can be made fairly safe. Combination is necessary, and its abuses can be kept small. Otherwise, our lawmakers would have to admit that they are unable to deal with the most important tool of industry.

At the hearings of the Industrial Commission in 1899, I said that if I were to suggest any laws about industrial combinations, they would be these. First, federal laws under which corporations could be created and regulated, if that is possible. Second, if not, state laws that are as

similar to each other as possible. These laws should encourage people and capital to combine in order to run industries, but should allow state supervision. That supervision should not be the kind that holds industries back, but it should be strong enough to prevent fraud against the public. I still feel the same way I did in 1899.

The New Opportunities

I do not believe at all that this will hurt the individual. The great economic age we are entering will give wonderful opportunities to the young men of the future. You often hear men of this new generation say that they do not have the chances their fathers and grandfathers had. How little they know about the disadvantages we suffered from! When I was a young man, we had everything to do and nothing to do it with. We had to cut our own paths in new directions, and we had little experience to rely on. Capital was very hard to get, and credit was a mysterious thing. Today we have a system of business credit ratings, but back then everything was left to chance. We also suffered through a terrible war [the American Civil War] and all the disasters that came after it.

Compare that time with today. Our comforts and opportunities have multiplied a thousand times. The resources of our great country are only now really being opened up, and they have barely been touched. Our home markets are huge, and we have only just begun to think about the foreign peoples we can serve, people who are years behind us in development. In the East, a quarter of

the human race is just waking up. The men of this generation are receiving an inheritance that makes their fathers' lives look poor in comparison. I am an optimist by nature, and when it comes to describing what our people will achieve in the future, I cannot find words enthusiastic enough.

There are many things we must do to get the greatest benefit from all these great blessings, and one of the most important is to build up our reputation around the whole world. I hope the big business interests will behave in such a way that foreign investors will see it as a good thing to own shares in American companies. It is up to Americans to make sure that foreign investors are treated well and honestly, so that they never regret buying our stocks and bonds.

I can speak this openly because I am an investor in many American businesses, but I control none of them, with one exception, and that is a company that has not paid many dividends. Like everyone else, I depend on these industries being run honestly and well. I firmly and sincerely believe that they will be.

The American Business Man

You hear many pessimistic people talk a lot about greed in American life. To hear them, you would think we were a nation of misers. It would be foolish to put too much weight on the newspaper stories about greed, because the job of newspapers is to report what is unusual, even what

is abnormal. When a man goes about his daily business in the right way, the newspapers say nothing. He is only discussed when something extraordinary happens to him. But just because he gets attention now and then, you would surely not say that those moments show his normal life. These active-minded men do not work only for money. They are doing work that fascinates them. What keeps their excitement for the work alive is something better than simply piling up money. And, as I think I have said elsewhere, the standards of business are high and are getting better all the time.

I admit I have no sympathy with the idea, so often put forward, that in this country we judge everything by money. If that were true, we would be a nation of people who hoard money instead of people who spend it. I also do not accept that we are such a small-minded people that we are jealous of other people's success. It is the other way around. We are extremely ambitious, and when one man succeeds in any area of life, it pushes the others to do better. It does not make them bitter, and it is an insult even to suggest that we have such a mean spirit.

When I read the newspapers, which so often assume that everything should be measured in money, I think we need some of the sense of humor of an Irish neighbor of mine. He built a house that we thought was extremely ugly, painted in bright colors, and it stood out when we looked out of our windows. My taste in architecture was so different from my Irish friend's that we blocked the view of his house by moving some large trees to the edge of our

property. Another neighbor, who watched this work going on, asked Mr. Foley why Mr. Rockefeller was moving all these big trees and blocking the view between the two houses. Foley, with the quick wit of his country, answered right away:

“It’s envy. They can’t stand looking at the evidence of my prosperity.” [In the original, Foley’s words are written in a strong Irish accent.]

In my early days, men no doubt acted just as they do now. Whenever something needed to be done to improve trade in general, almost every man had some good reason for believing his case was special and different from everyone else’s. For every foolish thing he did or wanted to do, and for every unbusinesslike plan he had, he always argued that it was necessary in his case. He was the one man who had to sell below cost and upset all the business plans of the others in his trade, because his personal situation was so completely different from everyone else’s. It was often a heartbreaking job to convince these men that the perfect moment, which would bring the perfect opportunity, would never come, even if they waited until the end of the world.

Then there was the type of man who never really knew all the facts about his own business. Many of the brightest men kept their account books in such a way that they did not actually know when they were making money on a particular deal and when they were losing it. This kind of unintelligent competition was hard to deal with. Good, old-fashioned common sense has always been extremely rare. When a man’s business is not going well, he hates to study

the books and face the truth. From the start, the men who ran the Standard Oil Company kept their books intelligently as well as accurately. We knew how much we made and where we gained or lost. At least, we tried not to fool ourselves.

My ideas about business are no doubt old-fashioned. But the basic principles do not change from one generation to the next. Sometimes I think that our quick-thinking American business men, whose spirit and energy are so wonderful, do not always study enough the real foundations of managing a business. I have talked about the need to be open and honest with yourself about your own affairs. Many people think they can escape the truth by not thinking about it. But natural law cannot be avoided, and the sooner you accept it, the better.

You hear a lot about wages and why they must be kept high, for example by the railroads. A worker deserves to be paid for his work, no less, but also no more. In the long run, he must give back something equal in value to what he is paid. If he does not, he is probably being turned into a dependent, and you immediately upset the balance of things. You cannot hold conditions up artificially, and you cannot change the basic laws of trade. If you try, you will certainly fail. All this may sound obvious and familiar, but it is remarkable how many men miss what should be obvious. These are facts we cannot escape. A business man must adapt himself to real conditions as they are, from month to month and year to year. Sometimes I feel that we Americans think we can find a shortcut to success,

and it may seem that this is often achieved. But real efficiency in work comes from knowing your facts and building on that solid foundation.

Many wealthy men do not retire from business even when they could. Some do not want to be idle. Some are rightly proud of their work and want to complete the plans they believe in. Or, what is even more important, some may feel called to expand and build for the benefit of their employees and colleagues, and these men are the great builders of our country. Think for a moment about how much would have been left undone if our successful American business men had sat back and done nothing once they had earned enough to live on. I respect all these reasons. But if a man has succeeded, he has also taken on matching responsibilities. Our institutions that help people help themselves need the brains of the American business man, as well as part of his money.

Some of these men, however, are so wrapped up in their business that they hardly have time to think about anything else. If they do get involved in some cause outside their own office and agree to raise money for it, they start with an apology, as if they were ashamed of themselves.

“I am no beggar,” I have heard many of them say. All I could answer was, “I am sorry you feel that way about it.”

I have been this kind of beggar all my life, and my experiences have been so interesting and important to me

that I will take the liberty of talking about them in a later chapter.

Chapter IV: Some Experiences in the Oil Business

During the years when I was just becoming a grown man, the produce business of Clark & Rockefeller did well. In the early 1860s we set up a firm to refine and sell oil. Its members were James and Richard Clark, Samuel Andrews, and the firm of Clark & Rockefeller, and together they were the company. This was my first direct connection with the oil trade. As the new business grew, Clark & Rockefeller was asked to put in a large amount of extra money. Mr. Samuel Andrews was the man in charge of production. He had learned how to clean crude oil by using sulphuric acid.

In 1865 the partnership was ended. We decided to collect the cash we were owed and pay our debts, but that still left the factory and the goodwill [the value of the business's name and customers] to be dealt with. Someone suggested that these should go to whichever of us bid the most. This seemed a fair solution to me, and then the question came up of when the sale should take place and who would run it. My partners had a lawyer in the room to represent them. I had not thought about having a lawyer

of my own; I believed I could handle such a simple deal myself. The lawyer acted as the auctioneer, and it was suggested that we hold the sale right then and there. Everyone agreed, and so the auction began.

I had decided that I wanted to go into the oil trade. I did not want to be just an investor in it, but to run it actively and on a bigger scale, and together with Mr. Andrews I wanted to buy that business. I believed I saw great opportunities in refining oil. At that time I did not realize that the whole oil industry would soon be flooded by so many people rushing into it. But I was full of hope. I had already arranged to borrow an amount of money that I thought would easily pay for the factory and the goodwill. I was willing to give up my share in the other firm, Clark & Rockefeller, and I settled that easily later on, when my old partner, Mr. Clark, took over that business.

The bidding started, I think, at $500 above the base value. I bid a thousand; they bid two thousand; and so, little by little, the price went up. Neither side wanted to stop, and the amount slowly climbed until it reached $50,000, which was much more than we thought the business was worth. Finally it went up to $60,000, and then slowly to $70,000. I almost began to fear that I would not be able to buy the business and still have the money to pay for it. At last the other side bid $72,000. Without hesitating, I said $72,500. Then Mr. Clark said:

“I won’t go any higher, John. The business is yours.”

“Should I give you a check for it now?” I asked.

“No,” Mr. Clark said. “I’m happy to trust you for it. Pay whenever it suits you.”

Then the firm of Rockefeller & Andrews was formed, and this was really my start in the oil trade. It remained my most important business for about forty years, until I retired at about the age of fifty-six.

The early history of the oil trade is too well known to repeat in detail. Cleaning crude oil was a simple and easy process, and at first the profits were very large. Naturally, all kinds of people got into it. The butcher, the baker, and the candlestick-maker all started refining oil. In a short time, more finished oil was being put on the market than anyone could possibly use. The price fell lower and lower, until the whole trade was in danger of ruin. It seemed absolutely necessary to grow the market for oil by selling it to foreign countries, which took a long and very difficult effort. It was also necessary to greatly improve the refining process, so that oil could be made and sold cheaply but still at a profit, and to turn into by-products all the materials that less efficient factories lost or threw away.

These were the problems we faced almost from the start. This great slump led us to talk with our neighbors and friends in the business, to try to bring some order to what was quickly turning into chaos. Growing the market and improving the methods of production on a large scale was more than any single company, as companies were then set up, had the power or skill to do. We reasoned that it could

only be done by increasing our capital and by bringing in the best talent and experience.

With this idea in mind, we began to buy the largest and best refining companies and to bring their management together in one place, so that we could run them more cheaply and efficiently. The business grew faster than we had expected.

This enterprise was run by hardworking, capable men working closely together. It soon built up unusual strengths in production, in transportation, in finance, and in opening up new markets. We had our troubles and setbacks. We suffered some bad fires, and the supply of crude oil was very unreliable. Our plans were always being changed by changing conditions. We would build up large facilities in an oil center, put up storage tanks, and connect pipelines; then the oil would run out, and all our work would be wasted. Even at its best it was a risky trade, and I am amazed that we got through so many times. But little by little we were learning how to run a very difficult business.

Foreign Markets

Several years ago, when I was asked how our business grew so large, I explained that our first organization was a partnership, and later a corporation in Ohio. That was enough for a local refining business. But if we had depended only on local business, we would have failed long ago. We were forced to expand our markets into every

part of the world. This made the coastal cities a necessary place to do business, and we soon found that it was cheaper to produce oil for export there. So we built refineries in Brooklyn, Bayonne, Philadelphia, and Baltimore, and set up the corporations we needed in the different states.

As the business grew, we soon realized that the original way of shipping oil, in barrels, could not last. The barrel often cost more than the oil inside it, and the country's forests could not supply cheap wood for barrels for very long. So we turned our attention to other ways of transporting oil. We adopted the pipeline system, and we found enough capital to build all the pipelines the business needed.

To run pipelines, we needed permission from the states they passed through, and so we needed corporations in those states. It was the same as with railroads that run through several states, which are forced to operate under a separate charter in each state. Completing the pipeline system took many millions of dollars. The entire oil business depends on the pipeline. Without it, every well would be worth less, and every market, at home and abroad, would be harder to serve or keep, because of the extra cost to the buyer. The growth of the whole industry would have been slowed down without this way of transporting oil.

Then the pipeline system called for other improvements, such as tank cars on the railroads and, finally, tanker

ships. Money had to be found for them, and corporations had to be created to own and run them.

Every one of these steps was necessary if the business was to develop properly. Only through these steps, one after another, and by bringing together a huge amount of capital, is America today able to make use of the riches that its land produces, and to supply the world with light.

The Start of the Standard Oil Company

In 1867 the firms of William Rockefeller & Company, Rockefeller & Andrews, Rockefeller & Company, and S. V. Harkness and H. M. Flagler joined together to form the firm of Rockefeller, Andrews & Flagler.

We formed this firm because we wanted to combine our skill and our money. That way we could run a bigger business, cheaply and efficiently, instead of the smaller businesses that each of us had run separately until then. As time went on and the possibilities became clear, we found that we needed more capital. So we got others interested and organized the Standard Oil Company, with a capital of $1,000,000. Later we saw that we could use more money. We found people who were willing to invest with us, and we raised our capital to $2,500,000 in 1872, and then to $3,500,000 in 1874. As the business grew and we won markets at home and abroad, more people and more capital joined the business, and we acquired or set up new companies to act for us. The goal was always the

same: to expand our operations by supplying the best and cheapest products.

I believe the Standard Oil Company succeeded because it always followed one policy: to make its business very large through the quality and low price of its products. It has spared no expense in using the best and most efficient methods of production. It has looked for the best managers and workers and paid the best wages. It has not hesitated to throw out old machinery and old factories and replace them with new and better ones. It has put its factories in the places where they could supply markets at the lowest cost. It has looked for markets not only for its main products but for every possible by-product, and has spared no expense in introducing them to the public in every corner of the world. It has not hesitated to invest millions of dollars in cheaper ways of collecting and delivering oil, through pipelines, special railroad cars, tanker ships, and tank wagons. It has built storage stations at railroad centers in every part of the country, to make storing and delivering oil cheaper. It has believed in American oil. It has brought together huge sums of money to make the American oil industry what it is, and to hold its market against competition from Russia and every other country that produces oil and competes with American products.

The Insurance Plans

Here is one example of how we saved money and gained a real advantage. Fire is always a danger in refining and

storing oil, as we learned through painful experience. But because our factories were spread all over the country, the risk and the possible loss from any one place were kept small. No single fire could ruin us, and this allowed us to set up a system of insuring ourselves. The reserve fund that paid for this insurance could not be wiped out all at once, as might happen to a company whose factories were all together or close to each other. Then we studied and improved our organization to prevent fires, making our equipment and our plans better year after year, until the profit from this insurance became a very large part of Standard's earnings.

It is easy to see that this saving on insurance, and the reduced losses from fire, affected profits not only in refining but in many related businesses as well: making by-products, the tanks and ships, the pumping stations, and so on.

We focused only on the oil business and its products. The company never went into unrelated ventures. It kept to the huge job of perfecting its own organization. We educated our own men; we trained many of them from the time they were boys. We tried to keep them loyal by giving them full room to use their abilities. They were given chances to buy stock, and the company itself helped them pay for it. Not only here in America but all over the world, our young men were given chances to move up, and the sons of the old partners were welcomed into the company's meetings and its management. I can say that the company has always

been, and I am sure still is, a very happy group of busy people.

People have asked me whether the current managers often ask for my advice. I can say that if they asked for it, I would gladly give it. But the fact is that since I retired, it has rarely been needed. I am still a large stockholder. In fact, I have increased my shares in the company since I gave up any part in running it.

Why the Standard Pays Large Dividends

Let me explain something that many people may already understand well, but that some, I am sure, do not. Standard pays four dividends a year. The first comes in March. It is the result of the busiest season of the whole year, because more oil is used in winter than at other times. The other three dividends come later, at roughly equal intervals. These dividends add up to as much as 40 percent on the capital stock of $100,000,000. But that does not mean the profit is 40 percent on the money actually invested. In fact, it reflects the savings and surplus built up over all the thirty-five or forty years that the companies have been operating. The capital stock could be raised by several hundred percent without a single penny of over-capitalization, or “water” [stock issued beyond the real value of the company]; the real value is there. If this increase had been made, the dividend rate would show a moderate earning power of about 6 to 8 percent.

A Normal Growth

Think for a moment about what has been a natural and completely normal rise in the value of the company's property. Many of the pipelines were built at a time when costs were about 50 percent of what they are now. Large areas of oil land were bought while still untouched, and they later produced huge amounts of oil. The company had bought large quantities of low-grade crude oil when people thought it was nearly worthless, hoping to make use of it someday. That oil became much more valuable thanks to inventions for refining it and for using the leftovers that had once been considered almost worthless. Dock property was bought at low prices and made valuable by putting up buildings and developing it. Large areas of undeveloped land near important business centers were bought. We brought our industries to these places, made the land useful, and raised its value many times over, not only for our own property but also for the land next to it. Wherever we have set up businesses, in this country and others, we have bought a lot of property. I remember one case where we paid only about $1,000 an acre for some rough land to be used for such purposes. Because of the improvements we made, its value has risen 40 or 50 times in 35 or 40 years.

Others have seen similar increases in the value of their property, but they have raised their capitalization to match. They have avoided the criticism that has been aimed at us, because we, with our old-fashioned and

careful ideas, have carried on without increasing our capitalization in that way.

There is nothing strange or miraculous about any of this. It all happened through the natural law of how a business grows. It is what the Astors and many other large landowners did. Suppose a man starts a business with $1,000 of capital. Little by little he grows his property and investment by keeping much of his earnings in the business instead of spending them. In this way he builds up value until his investment is, say, $10,000. It would be foolish to calculate the percentage of his real profits based only on the original $1,000 he started with. Here again, I think the managers of Standard should be praised, not blamed. They have set an example of building up a business in the most careful way, and in a business that has always been risky, to say the least, and to a large extent unavoidably speculative. Yet no one who has counted on owning this stock to give them a yearly income has been disappointed, and the stock is held by a growing number of small shareholders all over the country.

The Management of Capital

As I have already said, we never tried to sell Standard Oil stock on the market through the Stock Exchange. In the early days the business was very risky, and if the stock had been traded on the Exchange, its price would no doubt have swung wildly. We preferred that the owners and managers of the business put all their attention on honestly developing the company, rather than on

speculating in its shares. The company's interests have been carefully protected. We have been criticized for paying large dividends on a capitalization that represents only a small part of the property the company actually owns. If we had raised the capitalization to match the real value and listed the shares on the Exchange, we might then have been criticized for promoting a scheme to tempt the public to invest. As I have said, the company's foundations were so solidly built, and its affairs so carefully managed, that after the early period of struggling to raise enough capital, and because of the hard experiences we went through then, we decided to follow a policy of relying on our own resources. Since then we have never had to depend very much on the financial public. Instead, we have tried to stay in a position not only to protect our own large and important interests, but also to be ready to help others in hard times. The company has been hurt by statements from people who, I am convinced, do not know all the facts. Since I stopped taking any active part in managing its affairs long ago, perhaps I may offer this opinion: men who dedicate themselves to selling American products all over the world, in competition with foreign manufacturers, should be appreciated and encouraged.

So many stories have been told about the so-called speculations of the Standard Oil Company that I should say a word on that subject. This company is interested only in oil products and in the kinds of manufacturing that properly belong with them. It has factories for making barrels and tanks and for building pumps to pump oil. It

owns ships for carrying oil, tank cars, pipes for transporting oil, and so on. But it is not involved in speculative ventures. The oil business itself is speculative enough, and running it successfully takes a firm hand and a cool head.

The company pays its stockholders dividends that it earns by carrying on this oil trade. The stockholders can use this money however they like, and they do. But the company is in no way responsible for what the stockholders do with their dividends. The Standard Oil Company does not own or control “a chain of banks,” and it has no interest, direct or indirect, in any bank. Its dealings with banks are limited to ordinary banking, the same as any other depositor. It buys and sells its own foreign exchange [payments in other currencies], and these dealings, carried on over many years, have made its bills of exchange accepted all over the world.

Character the Essential Thing

When we speak of the real beginning of the Standard Oil Company, we should remember that the true starting point was not so much the joining together of the firms in which we had a personal interest. It was the coming together of men who, between them, had the brain power to do the work. Perhaps it is worth stressing again that a business is not made up only of capital, factories, and other purely material things. It is the character of the men behind these things, their personalities, and their abilities, that truly matter.

Late in 1871 we began buying some of the more important refineries in Cleveland. Conditions were so chaotic and uncertain that most of the refiners were very eager to get out of the business. We always gave those who wanted to sell the choice of taking cash or stock in the company. We much preferred that they take the stock, because in those days a dollar looked as big as a cartwheel. But as a matter of business policy, we found it wise to give them the choice, and in most cases they rushed to choose the cash. They knew what a dollar would buy, but they were very doubtful that the oil business could be brought back to life and that these shares would ever have lasting value.

These purchases went on for a number of years, and during that time the Standard Oil Company bought many of the more important refineries in Cleveland. Some of the smaller companies, however, stayed in business for many years, even though they had the same chance to sell as the others. And in other refining centers, which were considered better located than Cleveland, there were always many refineries operating successfully.

The Backus Purchase

We carried out all these purchases of refineries with complete fairness and good faith. Yet in many places, the stories of some of these deals have been told in a way that suggests the sellers sold very unwillingly, and only because they were forced to by the most ruthless use of greater power. One deal in particular, the purchase of the property of the Backus Oil Company, has been told in many

versions. In these stories I am made to look as if I personally robbed a defenseless widow of an extremely valuable property, paying her only a tiny fraction of what it was worth. The story, as it is told, appeals very strongly to people's sympathy. If it were true, it would be a shocking example of cruelty in crushing a defenseless woman. Because it has spread so widely, and has been accepted as true by people who know nothing of the facts, it has probably stirred up more hostility against the Standard Oil Company and against me personally than any other charge ever made. That is why I am going into so much detail about this particular case, which I am very unwilling to do, and have avoided doing for many years.

Mr. F. M. Backus was a highly respected citizen of Cleveland and an old personal friend of mine. For several years before his death in 1874, he had been in the lubricating oil business. After his death, the business was carried on as a corporation called the Backus Oil Company. In late 1878 our company bought certain parts of this company's property. The negotiations that led to the purchase lasted several weeks. Mr. Charles H. Marr handled them for Mrs. Backus, as the main stockholder, and Mr. Peter S. Jennings handled them for our company. I personally had nothing to do with the negotiations, except for this. When the matter first came up, Mrs. Backus asked me to visit her at her house, which I did. She talked about selling the property to our company and asked me to handle the negotiations with her personally. I had to decline, because, as I explained to her then, I was not familiar with the details of that business. In that

conversation I advised her not to act in a hurry. She expressed fears about the future of the business; for example, she said she could not get enough railroad cars to transport her oil. I told her that although we were using our cars and needed them for our own business, we would lend her as many as she needed and do anything else reasonable to help her. I said I did not see why she could not carry on her business successfully in the future, just as she had in the past. I also told her, however, that if after thinking it over she still wanted to negotiate the sale of her property, some of our people who knew the lubricating oil business would discuss it with her. Since she still said she wanted our company to buy her property, Mr. Jennings took up the negotiations. The only other part I had in the matter was this: when our experts reported that, in their judgment, the works, goodwill, and successorship [the right to carry on the business under its name] that we had decided to buy were worth a certain sum, I asked them to add $10,000, to make doubly sure that she received full value. The sale was completed, as we believed, to Mrs. Backus's complete satisfaction, and the agreed price was paid.

To my great astonishment, a day or two after the deal was closed, I received a very unkind letter from her complaining that she had been treated unfairly. After looking into the matter, I wrote her the following letter:

November 13, 1878.

Dear Madam:

I received your note of the 11th of this month yesterday, and I have held it until today, because I wanted to carefully review every point in the negotiations for buying the stock of the Backus Oil Company. I wanted to satisfy myself whether I had, without meaning to, done anything that could give you any right to feel wronged. It is true that when I spoke with you, I suggested that, if you wished, you could keep an interest in the business of the Backus Oil Company by holding on to some of its shares. I then understood you to say that if you sold out, you wanted to leave the business completely. Since that was my understanding, our arrangements, in case you decided to sell, were made in a way that left no room for any other interests. So when you did ask about taking some of the stock, our answer was based on the facts I have just described, but it was not at all given in the spirit you describe in your note when you mention our refusal. As for your claim that I allowed the business of the Backus Oil Company to be taken from you, I say that in this, as in everything else you wrote in your letter of the 11th, you do me a very serious wrong. It mattered very little to the interests I represent whether the business of the Backus Oil Company was bought or not. I believe it was in your interest to make the sale, and I am being completely honest in saying so. I would also remind you of the time, about two years ago, when you asked Mr. Flagler and me for advice about selling your interests to Mr. Rose. At that time you wanted to sell for a considerably lower price than you have now received, and to be paid over time rather than in cash, as you have now been paid. You

would have been glad to close that sale if you could have obtained good enough security for the later payments. As for the price paid for the property, it is certainly three times more than it would cost us now to build equal or better facilities. But because I wanted to be generous, I pushed for the offer of $60,000, which some of our people thought was much too high. I believe that if you think again about what you wrote in the letter I am answering, you must admit that you have done me a great injustice, and I am content to wait for your own natural sense of fairness to lead you to admit it.

However, given what seems to be your present feeling, I now offer to give back to you what we bought. You would simply return the money we have invested, and things would be left as if no purchase had been made.

If you do not wish to accept this offer, I offer you 100, 200, or 300 shares of the stock at the same price we paid for them, with this addition: if we keep the property, we are committed to paying into the treasury of the Backus Oil Company whatever amount, added to what has already been paid, would make a total of $100,000, and so make the shares worth $100 each.

So that you are not forced to decide in a hurry, I will keep these offers open for three days for you to accept or decline. In the meantime, believe me,

Yours very truly,

JOHN D. ROCKEFELLER.

Neither of these offers was accepted. So that this does not rest on my word alone, I present the following documents. The first is a letter from Mr. H. M. Backus, a brother of Mrs. Backus's late husband. He had worked in the business and stayed with the company after his brother's death. He wrote the letter without my asking for it in any way, but I have since received his permission to print it. After it come extracts from sworn statements by the gentleman who handled the negotiations for Mrs. Backus. I have no wish to reprint the kind words about me in Mr. Backus's letter, but I was afraid to leave out a single word in case it caused some misunderstanding:

> Bowling Green, Ohio, September 18, 1903.
>
> Mr. John D. Rockefeller, Cleveland, Ohio.
>
> I don't know whether you will ever receive this letter, or whether your secretary will throw it in the wastebasket, but I will do my part and get it off my mind, and it will not be my fault if you do not receive or read it. Ever since the day my late brother's wife, Mrs. F. M. Backus, wrote you that unfair and unreasonable letter about the sale of the property of the old Backus Oil Company, in which I had a small share, I have wanted to write to you and put on record that I disapproved of that letter. I lived with my brother's family, and I was at the house the day you came, at Mrs. Backus's request, to talk with her about the planned purchase of the property, since she had told Mr. Jennings that she wanted to deal through you. I was in favor of the sale from the beginning.

I was with Mrs. Backus through all the trouble with Mr. Rose and with Mr. Maloney. I did what I could to encourage her and to keep Mr. Rose from getting the better of her. In my opinion, Mrs. Backus is an exceptionally good financier, but she does not understand, and no one can convince her, that the best thing that ever happened to her financially was selling her interest in the Backus Oil Company to your people. She does not understand that five more years of the competition, which was growing more desperate at the time, would have bankrupted the company, and that with the big debt she was carrying on the lot on Euclid Avenue near Sheriff Street, she would have been ruined. Nor does she understand that the only thing that ever saved her, and the oil business in general, was the plan of John D. Rockefeller. She thinks you actually robbed her of millions, and she feeds her children that idea three times a day, more or less (mostly more), until it has become an obsession with her, and no argument anyone else can make has any effect on her. She is wise and good in many ways, but on that one subject I think she sees only one side. Of course, if we could have been sure of continued dividends, I would have been against selling the business, but that was out of the question. I know about the ten thousand dollars that was added to the purchase price at your request. I know that you paid three times what the property was worth, and I know that the only thing that ever saved our company from ruin was selling its property to you. I simply want to ease my mind by doing you justice and saying so. After the sale to your company, I was foolish enough to go to

Buffalo and try the business again, but I soon failed and gave up in defeat. Then I went to Duluth and was riding high until the real-estate bubble burst, and I went broke along with it. I have had my ups and downs, but I have tried to accept my losses and keep smiling, instead of sitting around feeling sorry for myself and blaming my losses on John D. Rockefeller.

I suppose I would have put off writing this letter for another year or more, as I have for so long, if it had not been for a little chat I had a day or two ago with Mr. Hanafin, Superintendent of the Buckeye Pipe Line Company. I was telling him about the sale of the old Backus Oil Company's business and so on, and that brought back the intention that had been sleeping since the last time I resolved to write. But it's done now, and off my mind.

With much respect and admiration for John D. Rockefeller, I remain,

Yours truly,

H. M. BACKUS.

The sworn statements show that the negotiations were handled for Mrs. Backus and her company by Charles H. Marr, who had worked for the Backus Company for some time, and by Mr. Maloney, who had been the company's superintendent since it was founded and was also a stockholder. The Standard Oil Company was represented by Mr. Peter S. Jennings.

There has been an impression that the Standard Oil Company paid $79,000 for property that was reasonably worth much more, and that this loss was forced on the seller by threats and pressure. Mr. Jennings asked Mr. Marr to send a written offer listing the price the Backus Company put on each item of property and each asset it wanted to sell. This statement was provided and was attached to Mr. Jennings's sworn statement. In the end, the Standard Oil Company decided not to buy all of the company's assets. It bought only the oil on hand, for which it paid the full market price of about $19,000, and the item "works, goodwill, and successorship." Mr. Marr had offered this item for $71,000. Standard offered $60,000, and the offer was quickly accepted. Mr. Marr made the following sworn statement:

> "Charles H. Marr, having been properly sworn, states the following. On behalf of the Backus Oil Company, he handled the negotiations that led to the sale of its works, goodwill, and stock of oils. During those negotiations, the company had offered to sell all of its stock for one total sum, namely one hundred and fifty thousand dollars ($150,000), which was to include cash on hand, dividends due, accounts, and so on. Mr. Jennings then asked the company to submit an itemized offer, putting values on the different things it proposed to sell. After full discussion with Mrs. Backus, and with her knowledge and consent, Mr. Marr submitted the written offer attached to Mr. Jennings's sworn statement. It is in his handwriting. He copied it himself from the original at the office of the American Lubricating Oil Company, at

> Mr. Jennings's request, and he gave the original to Mrs. Backus.
>
> "She was fully aware of all the details of these negotiations and of the items and values listed in the offer. She was consulted at every step, and no step was taken without her advice, since she was by far the largest stockholder in the Backus Oil Company, owning about seven-tenths of its stock. She fully approved of the offer, and, as far as Mr. Marr knows, she accepted Mr. Jennings's offer to pay sixty thousand dollars ($60,000) for the item 'works, goodwill, and successorship' without any objection. Mr. Marr also states that the total amount received from the assets of the Backus Oil Company, including the purchase price, has been about one hundred and thirty-three thousand dollars ($133,000), and that, as he has been told, some of its assets have not yet been turned into money."

Mr. Marr, who, it should be remembered, was the widow's own representative, speaks about the negotiations that led to the purchase and says:

> "But Mr. Marr states that nothing said by Mr. Jennings or anyone else while the negotiations were going on could be understood as a threat, and that nothing Mr. Jennings said or did hurried or pushed the deal forward."

He also says:

> "Mr. Marr states that the negotiations lasted two to three weeks . . . and that while they were going on, Mrs. Backus often urged him to bring them to an end,

since she was eager to sell the business and free herself from any further worry and responsibility for it. And when he brought her Mr. Jennings's offer on the terms described above, she said she was completely satisfied with it."

Mr. Maloney made a sworn statement that he had been superintendent of the Backus Oil Company since it was founded, and was also a stockholder in the company. He had worked with Mr. Backus for many years before Mr. Backus died, and he took part in the negotiations for the sale, representing Mrs. Backus. After describing the negotiations, he says:

"Finally, after discussion, she made an offer to sell the works, goodwill, and successorship for $71,000. A few days later, she received an offer of $60,000 for the works and goodwill, with the oil on hand to be bought at its market price. She accepted this offer, and the sale was completed.

"During these negotiations, Mrs. Backus was eager to sell, and she was completely satisfied with the sale after it was completed. I know for a fact that about a year and a half earlier, she had offered to sell the stock of the Backus Oil Company for 30 to 33 percent less than she received in this sale, and the value of the works and the property sold had not gone up in the meantime. I knew the works of the Backus Oil Company well, and I knew their value. At the time of the sale, I could have built the works new for $25,000. No threats, intimidation, or anything of the kind was used to force the sale. The negotiations were pleasant

> and fair, the price paid was more than the property was worth, and it satisfied Mrs. Backus and everyone acting for her."

As far as I can see, now that more than 30 years have passed, the Standard Oil Company treated Mrs. Backus with nothing but the greatest kindness and consideration. I am sorry that Mrs. Backus did not take at least part of her payment in Standard stock certificates, as we suggested she should.

The Question of Rebates

Of all the subjects in the affairs of the Standard Oil Company that have caught the public's attention, the matter of rebates [partial refunds of freight charges] from railroads has perhaps been the biggest. The Standard Oil Company of Ohio, of which I was president, did receive rebates from the railroads before 1880. But it received no advantages that it did not fully pay for. The reason for rebates was that this was simply how the railroads did business. The railroad companies set and collected a public rate, but as far as I know, they rarely kept the whole amount; part of it was paid back to the shipper as a rebate. Because of this method, neither a shipper's competitors nor other railroad companies knew the real freight rate he paid, since the amount was a private bargain with the railroad. Each shipper got the best deal he could, but whether he was doing better than his competitor was only a guess. A lot depended on whether the shipper had several railroads competing for his business.

The Standard Oil Company of Ohio was located in Cleveland, so it had the advantage of several different railroad lines, as well as shipping by water in the summer. Using these options, it made the best deals it could for its freight. Other companies tried to do the same. Standard gave the railroads advantages in order to lower the cost of transporting freight. It offered freight in large amounts, by the carload and the trainload. It provided loading and unloading facilities at great cost. It provided regular traffic, so that a railroad could plan its transportation in the best way and use its equipment to its full hauling capacity, without waiting until it suited the refiner. It freed the railroads from responsibility for fire and carried its own insurance. At its own expense, it provided terminal facilities that made handling cheaper. In return for these services, it got contracts for special discounts on freight.

But even with these special discounts, this traffic from the Standard Oil Company was far more profitable to the railroad companies than smaller, irregular traffic that might have paid a higher rate.

To understand the situation that led to the giving and taking of rebates, it must be remembered that all the railroads were eager to increase their freight traffic. They were competing with the services and rates offered by boats on the lakes and canals and by the pipelines. All these ways of moving oil cut into the railroads' business, and the railroads were desperate to meet this competition successfully. As I have said, we provided ways to load and unload cars quickly, agreed to supply a regular, fixed

number of carloads to be transported each day, and arranged with them for all the other things I have mentioned. The final result was to lower the cost of transportation for both the railroads and us. All this simply followed the natural laws of trade.

Pipelines Versus Railroads

Building pipelines brought in another powerful competitor for the railroads. But since oil could be moved by pumping it through pipes at a much lower cost than by hauling it in tank cars on a train, the growth of pipelines was unavoidable. The only question was whether there was enough oil traffic to make the investment profitable. When pipelines had been built to oil fields where the wells had stopped producing, as often happened, they were about the most useless property you could imagine.

An interesting situation developed from the relationship that grew up between the railroads and the pipelines. In many cases the two had to be used together, because the pipes reached only part of the way, and from the point where they ended, the railroad carried the oil to its final destination. In some cases a railroad had previously carried the oil the whole distance at an agreed rate. Now that the oil was partly pumped through pipelines and partly carried by rail, the freight payment was split between the two. But since a single through rate [one price for the whole trip] had already been set, the owners of the pipeline agreed to pay back part of its charges to the railroad. So there were cases where Standard paid a

rebate to the railroad, instead of the other way around. But I do not remember hearing any complaints about this from the people who study these complicated subjects.

The Standard Oil Company's profits did not come from advantages given by the railroads. Instead, it was the railroads that profited from the Standard Oil Company's traffic. Whatever advantage the company gained in its constant efforts to lower freight rates was only one of the many ways it reduced costs for the buyer. Those lower costs allowed us to lower the selling price, and that is what let us grow our business all over the world.

It is hard to imagine how widespread this complicated bargaining over rates was; everyone got the best rate he could. After the Interstate Commerce Act was passed [the 1887 federal law regulating railroad rates], it came out that many small companies shipping limited amounts had received lower rates than we had been able to get, even though we had made large investments in terminal facilities, regular shipments, and other savings. I clearly remember a clever man from Boston who had a lot to say about rebates and drawbacks [another word for refunds on charges]. He was an old and experienced merchant who watched over his affairs with a careful, watchful eye. He was afraid that some of his competitors were getting better rates than he was, and he announced his belief like this:

"I am against the whole system of rebates and drawbacks on principle — unless I am getting them."

Chapter V: Other Business Experiences and Business Principles

I went into the iron-ore business almost against my will. It was one of those things that happen to you. I had no deliberate plan to take on more worries and responsibilities. My connection with iron ore came about through some bad investments in the Northwest. These investments covered many different industries: mines, steel mills, paper mills, a nail factory, railroads, timberland, smelting plants [factories that extract metal from ore], and other things I have now forgotten. In all of these businesses I owned only a minority of the stock, and I had no part in running them. Not all of them made money. In fact, for several years just before the panic of 1893 [a severe financial crisis in the United States], prices were more or less inflated. Many people who thought they were rich learned that the real situation was very different from what they had imagined. The hard experiences of that panic forced them to face this unpleasant truth.

I had not even seen most of these properties. I had relied on other people’s investigations to judge what they were

worth. In fact, I have never made it my habit to rely only on my own knowledge of the value of such plants. I have found other people who knew much better than I did how to investigate businesses like these.

Even at that time I had been planning to free myself from the worries of business. The panic only made me postpone the long holiday I had been looking forward to. I was lucky to get to know Mr. Frederick T. Gates. He was then doing some work for the American Baptist Education Society, and this work required him to travel widely across the country, north, south, east, and west.

It occurred to me that Mr. Gates could help me get first-hand information about how these businesses were really doing. He had a great deal of common sense, although he had no special technical knowledge about factories and mills. Once, when he was going South, I suggested that he take a look at an iron mill on his route in which I owned some shares.

His report was a perfect example of what such a report should be. It stated the facts, and in this case almost all of them were bad. A little later he happened to be going West, and I gave him the name and address of a property in that region in which I held a minority share. I felt quite sure that this business was doing well. So it was something of a shock when his clear and specific report showed me that, if things kept going the way they were, this business would also get into trouble. It was only a matter of time, even though people had described it to me as rolling in money.

Nursing Sick Businesses

I then arranged for Mr. Gates to take a position in which he could help me sort out these tangled affairs, and become a businessman like me. But we agreed that he would not give up his larger and more important plans to carry out certain charitable goals he had.

Here I want to pause and give credit to Mr. Gates. He has a rare talent for business, very highly developed and always used honourably. But even greater than this talent is his passion to do great and far-reaching good for humanity, good whose effects will last. He is the chairman of the General Education Board and active on many other boards. For years he has helped with the various plans we have supported, where money was given in the hope that it would do more than provide temporary help.

For many years Mr. Gates has worked closely with me on my personal affairs. He has gone through difficult times with me. He has taken many kinds of worries off my shoulders, which has left me more time to play golf, plan roads, move trees, and do other things I enjoy. His investigations for our gifts to education, our medical research, and other similar work have been very successful. During the last ten or twelve years my son has shared this responsibility with Mr. Gates. More recently Mr. Starr J. Murphy has also joined us to help Mr. Gates. Mr. Gates has carried the heaviest part of the load, and he has truly earned some free time, which we have wanted him to enjoy.

But let me go back to the story of our troubled investments. Mr. Gates studied each of these businesses and did the best he could with them. Our policy has always been never to let a company we had an interest in be forced into bankruptcy court if we could prevent it. Receiverships [when a court appoints someone to take over a failing company] are very costly in many ways, and they often destroy a lot of real value. Our plan has been to stay with the business and nurse it back to health. We lend it money when needed, improve its equipment, and lower its production costs. Then we use the opportunities that time and patience usually bring to make it able to support itself and succeed. So in the hard times of 1893 and 1894 we went carefully through the affairs of these damaged businesses, and we kept supporting many of them for years afterward. Sometimes we bought other people's shares, and sometimes we sold our own. But all of them, or nearly all, avoided the costs and shame of bankruptcy, receivership, and foreclosure [when lenders seize property because loans are not repaid].

Before these matters were completely settled, we had gained a huge amount of experience in treating sick businesses. My only reason for talking about this subject so long afterward is to show something to businessmen who get discouraged. Careful and patient attention can do a great deal, even when a business seems to be in very deep trouble. It requires two things: some extra capital, either put in by yourself or raised from others, and a strict commitment to the sound, natural laws of business.

The Ore Mines

Among these investments were shares in several ore mines. We also owned some stocks and bonds of a railroad that was being built to carry the ore from the mines to ports on the Great Lakes. We had great faith in these mines, but the railroad was necessary to work them. Construction had started, but in the panic of 1893 the railroad and all the other projects were nearly ruined. We owned only a minority of the stock, but it still seemed to be "up to us" to keep the business alive through those terrible panic days. I had to lend my personal securities [stocks and bonds] so that money could be borrowed against them. In the end we had to supply a great deal of actual cash. To get it, we had to go into the money market, which was in great disorder at the time, and buy paper money at a high premium [a price above its face value]. We then shipped this money west by express to pay the workers on the railroad and keep them fed. When the fear of the panic calmed down and things became a little more settled, we began to understand our position. We had invested many millions of dollars, and no one wanted to join us in buying stock. In fact, everybody else seemed to want to sell. Stock was offered to us in alarming amounts. We ended up with almost all of the companies' stock without ever asking for it — quite the opposite — and we paid for it in cash.

We now found ourselves in control of a large amount of ore land. From some of it, the ore could be dug out with a steam shovel for a few cents a ton. But we still had a very poor and inadequate way of getting the ore to market.

We realized that events were developing in a way that would force us into selling ore on a large scale to protect our investments. Once we saw this, we felt we had to do the work as effectively as possible and not stop halfway. Since we had already put in so much money, we bought all the ore land offered to us that we thought was good. The railroad and the ships were only a means to an end. The ore lands were the heart of the whole matter, and we believed we could never have too many good mines.

I was surprised that the big iron and steel manufacturers did not seem to value these mines properly. Before we got involved, the land holding many of our best ore mines could have been bought very cheaply. Once we had started the venture, we decided to supply ore to everyone who needed it. We would mine and transport it with the newest and most effective equipment, and we would invest our profits in more ore land.

Mr. Gates became president of the various companies that owned the mines and the railroad that carried the ore to the lake. He began to learn and develop the business of mining and transporting ore. He proved to be a quick learner, and he truly mastered all the complicated parts of the business. He did all the work and only consulted me when he wanted to. Still, I remember several interesting experiences from the time we were solving these problems.

Building the Ships

After the railroad problem was solved, it was clear that we needed our own ships to carry the ore down the lakes. We knew absolutely nothing about building ships for carrying ore. So, as usual, we went to the man who we believed knew the most about the subject. We already knew him well. But he ran a large ore-shipping business of his own, and of course, the moment we started shipping ore, we knew we would become his competitors. Mr. Gates contacted this expert and brought him to my house in New York one evening just before dinner. He said he could stay only a few minutes. I told him I thought we could finish our business in ten minutes, and we did. This is the only time I remember personally meeting anyone about the ore company's business. As I said before, Mr. Gates handled all the meetings. He seemed to enjoy work, and he has had plenty of chances to enjoy it.

We explained to this gentleman that we planned to transport the ore from our Lake Superior lands ourselves. We said we would like him to take charge of building several ships of the largest and best type, because our chance of success depended on having boats that could run as efficiently as possible. At that time the largest ships carried about five thousand tons. But by 1900, when we sold the business, we had ships that carried seven or eight thousand tons. Now there are some that carry ten thousand tons or more.

Naturally, the expert answered that since he was in the ore-shipping business himself, he did not want to

encourage us to enter it. We explained our position to him. We had made this large investment, and to protect our interests it seemed necessary to control our own lake ships. So we had decided to mine, ship, and sell the ore ourselves. We told him we had come to him because he could plan and supervise the building of the best ships for us, and that this was why we wanted to work with him. Even though he represented one of the largest firms among our competitors, we knew he was honest and straightforward, and we very much wanted to work with him.

Hiring a Competitor

He still hesitated. But we tried to convince him that nothing would stop us from entering the business, and that we were willing to pay him a fair commission for supervising the building of the ships. We explained that somebody was going to do this work for us, so he might as well earn the profit as the next man. This argument finally seemed to persuade him. We made an agreement right then and there, and the details were worked out later to everyone’s satisfaction. This gentleman was Mr. Samuel Mather of Cleveland. He spent only a few minutes in the house. During that time we gave him an order for about $3,000,000 worth of ships, and that was the only time I saw him. But Mr. Mather is a man of high business honour. We trusted him completely, even though he was a competitor, and we never had any reason to regret it.

At that time there were nine or ten shipbuilding companies in various places on the Great Lakes. They were all independent of each other, and the competition between them was fierce. Times were quite hard for them. Their business had not yet recovered from the panic of 1893, and they could not keep their shipyards running at full capacity. It was autumn, and many of their workers were facing a hard winter. We considered this when deciding how many ships to build. We made up our minds to build all the ships that could be built, to give work to the unemployed men on the Great Lakes. So we told Mr. Mather to write to each shipbuilding firm and find out how many ships it could build and have ready to sail when navigation opened the next spring [when the lakes were free of ice]. He found that some companies could build one ship and some could build two, making twelve in total. So we asked him to have twelve ships built, all of steel, and all of the largest size then thought practical on the Great Lakes. Some were to be steamships, and some were to be consorts [barges without engines, towed behind steamships]. But all were to be built on basically the same general design, representing the best ideas of the time for ore-carrying ships.

Of course, an order like this put him at risk of paying very high prices. This would certainly have happened if Mr. Mather had announced in advance that he wanted twelve ships and asked for bids on all of them. I was not told exactly how he managed it until long afterward. It is an old story on the lakes now, but I will repeat it because many people may not have heard it.

Mr. Mather kept the number of ships he wanted to build completely secret. He sent his plans and specifications, each basically a copy of the others, to every firm. He asked each firm to bid on one or two ships, depending on the case. Naturally, each firm assumed that at most two ships would be built, and each was extremely eager to get the work, or at least one of the two ships.

On the day before the contracts were to be awarded, all the bidders were in Cleveland at Mr. Mather's invitation. One by one, they were taken into his private office for a special meeting covering all the details before the final bid. At the set time, the bids came in. All the gentlemen were deeply curious to know who would be the lucky one to win the prize. Mr. Mather's manner had somehow convinced each of them that he himself must be the favoured bidder. Yet when each one met his competitors in the hotel lobby, the obvious looks of satisfaction on their faces made him seriously doubt himself.

At last the decisive moment came. At about the same time, each gentleman received a short note from Mr. Mather telling him that he had been given a contract big enough to keep his shipyard working at full capacity. They all rushed, with the same idea, to the hotel lobby where they usually met. Each one wanted to show off his note and offer sympathy to his unlucky rivals. Instead, they discovered that each of them had a contract for all the work he could handle, and that each had really been bidding against nobody but himself. When they met, compared notes, and looked at each other's faces, they

laughed loudly to cover their embarrassment. Still, all of them were happy and satisfied. But I may mention in passing that these friendly gentlemen later all joined together into one company, which has done very well. And after this merger, we paid a more uniform price for the ships we bought later.

A Landsman as Ship Manager

With these ships ordered, the ore business was really just getting started. But we realized we needed some arrangement to operate the ships. Again we turned to our competitor, Mr. Mather, hoping he would take on this job too. Unfortunately, because of his duties to others, he felt this was not practical. One day soon afterward I asked Mr. Gates:

“How are we going to find someone to run these big ships we have ordered? Do you know of any experienced firm?”

“No,” said Mr. Gates, “I can’t think of any firm to suggest right now. But why not run them ourselves?”

“You don’t know anything about ships, do you?”

“No,” he admitted, “but I have a man in mind who I believe could do it. I’m afraid that when I tell you about him, you will think his qualifications are not the best. But he has the essentials. He lives upstate and has never been on a ship in his life. He probably wouldn’t know the front of a ship from the back, or a sea anchor from an umbrella. But he has good sense, and he is honest, enterprising, sharp, and

careful with money. He knows how to master a subject quickly, even when it is new and difficult for him. We still have some months before the ships are finished. If we put him to work now, he will be ready to run the ships as soon as they are ready to sail."

"All right," I said, "let's give him the job," and we did.

That man was Mr. L. M. Bowers, from Broome County, New York. Mr. Bowers travelled from place to place on the lakes where the boats were being built and studied them in close detail. He was soon able to make valuable suggestions about their construction, which the designers approved and used. When the ships were finished, he took charge of them from the moment they were launched. He managed these ships, and the dozens that came after them, with a skill and ability that won the admiration of all the sailors on the lakes. He even invented an anchor, which he used on our fleet. Later other ships adopted it, and I have heard that it is used in the United States Navy. He stayed in his position until we sold the business. Since we left the lake shipping business, we have given Mr. Bowers all kinds of difficult jobs, and he has always succeeded. Recently, the health of a member of his family made it better for him to live in Colorado. He is now the energetic and capable vice president of the Colorado Fuel and Iron Company.

The large ships and the railroad gave us the best possible equipment. The organization was successful from the start. We built up a huge trade, mining ore and carrying it to Cleveland and other lake ports. We kept building and

growing until the fleet finally included fifty-six large steel ships. Like many other important businesses I was involved in, this one needed very little of my personal attention. I was fortunate to have active, capable, and completely reliable representatives who took on most of the responsibility for running it. I am pleased to say that the trust I have freely given to the businessmen I have worked with has been fully deserved.

Selling to the Steel Company

The business continued smoothly and profitably until the United States Steel Corporation was formed. A representative of this corporation came to see us about buying the land, the ore, and the fleet of ships. The business was running smoothly, and we had no urgent need to sell. But the organizer of the new company felt that our mines, railroads, and ships were a necessary part of his plan, so we told him we would be glad to help him complete this great project. I believe they had already reached an agreement with Mr. Carnegie for his various properties. After some negotiation, they made an offer, and we accepted it. Under this agreement, the whole operation — mines, ships, railway, and so on — became part of the United States Steel Corporation. We felt that the price was very moderate, considering the property's present and future value.

This deal looks likely to bring the Steel Company a large profit for many years. Since we were paid mostly in the company's securities, we have had the chance to share in

this success. And so, after about seven years, I left all involvement with mining, transporting, and selling iron ore.

Follow the Laws of Trade

When I think again about this ore experience, which grew out of investments that seemed rather unpromising at the time, to say the least, I am struck once more by the importance of a principle I have often mentioned. If I can make this point clear to the young man who has been patient enough to read these Reminiscences this far, it will make me happy, and I hope it will help him.

The basic, essential element of success in business is to follow the established laws of honest, high-quality dealing. Stay on broad and sure paths, and study them to be certain they are the right ones. Watch how trade naturally works, and stay within those limits. Do not even think about temporary or tricky advantages. Do not waste your effort on something that ends in a small victory, unless you are happy with a life of small success. Before you start a business, be sure you can clearly see how to stay with it until it succeeds. Look ahead. It is surprising how many smart businessmen start important projects with little or no study of the key conditions on which they are risking everything they have.

Study carefully how much capital you will need, and prepare yourself fully to cover possible setbacks, because you can be absolutely sure you will face setbacks. Make

sure you are never fooling yourself about the real situation. The man who starts out only wanting to get rich will not succeed. You must have a bigger ambition. There is no mystery to success in business. The great industrial leaders have said again and again the plain and obvious fact: there can be no lasting success without fair dealing, which leads people everywhere to trust the man himself. That trust is the real capital we all value and work for. If you do each day's work well, stay faithfully within the natural workings of the laws of business that I talk about so much, and keep a clear head, you will turn out fine. And then perhaps you will forgive me for lecturing you in this old-fashioned way. I hardly need to warn a young man who reads such a serious book as this one not to lose his head over a little success, or to become impatient or discouraged by a little failure.

Experiences in Panics

I had wanted to retire from business in the early 1890s. I had started working so young that I felt that, at fifty, I deserved to be free from being absorbed in active business. I wanted to devote myself to various interests other than making money, interests that had taken part of my time since the start of my business career. But 1891 and 1892 were years when the future looked threatening. In 1893 the storm broke, and as I have already described, I had many investments to look after. That year and the next were a difficult time of serious worry for everyone. No one could retire from work at a time like that. At Standard Oil

we kept making progress through all these panic years, because our very careful methods of financing meant we had large reserves of cash. In 1894 or 1895 I was able to carry out my plan to free myself from any role in the actual management of the company. Since then, as I have said, I have had little or no part in running the business.

I can remember all the great panics since 1857, but I believe the panic of 1907 was the hardest. No one escaped it, whether big or small. Important institutions had to be supported and carried through that time of distrust and unreasonable fear. I want to join other businessmen in giving great praise to Mr. Morgan [the banker J. P. Morgan] for his real and effective help. His powerful personality served a very valuable purpose. He acted quickly and firmly at a time when speed and decisiveness were exactly what was needed to restore confidence. Many capable leading financiers across the country supported him well, and they worked together bravely and effectively to bring back confidence and prosperity. People have asked whether I think we will recover quickly from the panic of October 1907. I hesitate to speak on this subject, since I am not a prophet, nor the son of a prophet. But there is, of course, no doubt about the final outcome. This temporary setback will lead to safer institutions and more careful management by everyone, and we need this quality. It will not hold back our wonderful spirit of enterprise for long. Financial distrust has not reduced or damaged the country's resources. A gradual recovery will only make the future more secure, and patience is a virtue in business as in other things.

Here again I would like to offer a word of warning to businessmen. They should study their own affairs honestly and face the truth. If their methods are wasteful, they should recognize the facts and act on them. You cannot successfully go against natural tendencies, and it is foolish not to recognize them. It is not easy for people as emotional and imaginative as we Americans are to come down to plain, hard facts. Yet we are doing it, without losing our self-respect or our standing in the world.

Chapter VI: The Difficult Art of Giving

It is easy, of course, to write tired clichés and vague statements about the joys of giving and the duty we owe to other people. It is easy to repeat all the familiar phrases that people have used for generations whenever this subject comes up.

I can hardly hope to create new interest in this great subject when talented writers have so often failed. Still, I admit that I find it much more interesting right now than wandering on, as I have been doing, about business and trade. But it is very hard to talk about the practical, businesslike side of giving without seeming to ignore, or at least not fully appreciate, the spirit of giving that comes from the heart. That spirit, of course, is what makes it all worthwhile.

In this country we have reached a point where we can easily afford to ask our most capable people to give more of their time, thought, and money to the public good. I am not so arrogant as to try to define exactly what this improvement work should include. Every person will

decide that for himself, and his own conclusion will be final for him. I think it is good that no narrow or fixed plan should be declared the best one.

I am sure it is a mistake to believe that having huge amounts of money automatically brings happiness. The very rich are just like the rest of us. If they get pleasure from having money, that pleasure comes from being able to do things that make someone besides themselves happy.

The Limits of the Rich

People who claim to know tell me that simply spending money on things soon becomes boring. The thrill of being able to buy anything you want quickly fades, because the things people want most cannot be bought with money. The rich men we read about in the newspapers can only get so much personal benefit from their spending. They cannot enjoy food beyond fairly modest limits, because they cannot buy a good digestion. They cannot spend very much money on fine clothes for themselves or their families without being laughed at by the public. And in their homes, they cannot go much beyond the comforts that less wealthy people have without causing themselves more trouble than pleasure. When I study wealthy men, I can see only one way for them to get real value for the money they spend. That is to develop a taste for giving in places where the money can produce a result that brings lasting satisfaction.

A businessman can often fairly consider that he is doing his part by building up a company that gives steady work to a few people or many. His contribution is to give his employees good working conditions, new opportunities, and a strong reason to do good work. As long as he keeps his employees' welfare in mind and acts on his beliefs, no one can help respecting such a man. It would be the narrowest view, and I think the meanest, to believe that doing good mainly means simply handing out money.

The Best Philanthropy

The best philanthropy [organized giving to help others] is not what people usually call charity. By the best philanthropy, I mean the help that does the most good and the least harm, the help that feeds civilization at its very root, and that spreads health, goodness, and happiness most widely. In my opinion, it is the investment of effort, time, or money, carefully planned so that it can employ people at a fair wage, expand and develop the resources that are available, and create chances for progress and healthy work where none existed before. No simple gift of money can compare with this in its lasting, positive results.

If this view of mine is correct, how huge the field of philanthropy really is! Some people may argue that a person's daily job is one thing and the work of philanthropy is something completely different. I do not agree with this idea at all. The man who plans to do all his

giving on Sunday is a weak support for the institutions of the country.

My reason for talking so often about the busy businessman is that his help is needed most. I know men who have followed this broad plan of creating work, not as a short-term thing but as a permanent principle. These men have taken on uncertain businesses and carried them through to success, often at great risk and in the face of strong doubt. They did it not only for personal profit, but in a bigger spirit of improving things for everyone.

Unselfish Service Is the Road to Success

If I were giving advice to a young man starting out in life, I would tell him this: If you want a large, wide-reaching success, do not begin your career with the idea of getting everything you can from the world by any means possible. This is true whether you work for someone else or run your own business. When you choose your profession or your job, let your first thought be: “Where can I fit in so that I can be most useful in the work of the world? Where can I help in a way that best moves forward the interests of everyone?” Start life with that attitude, choose your career that way, and you will have taken the first step on the highest road to a great success. If you look into it, you will see that the great fortunes made in this country, and probably in other countries too, have gone to men who performed great and far-reaching economic services. They were men who had great faith in their country’s future and who did the most to develop its resources. The person who

gives the greatest service to the world will be the most successful. Businesses that the public needs will make money. Businesses that are not needed fail, and they should fail.

On the other hand, the one thing such a business thinker would most carefully avoid, when investing his time, effort, or money, is needlessly copying industries that already exist. He would see all money spent on creating unnecessary competition as wasted, or worse. Imagine a factory that already supplies everything the public needs, well and cheaply. The man who builds a second factory next to it is wasting the nation's wealth and damaging its prosperity. He takes bread away from the worker and brings unnecessary heartbreak and misery into the world.

Probably the biggest single obstacle to the progress and happiness of the American people is that so many men are willing to put their time and money into multiplying competing industries, instead of opening up new fields and investing in industries and development that are actually needed. It takes a better kind of mind to look for, support, or create something new than to follow the well-worn paths of proven success. But this is the great opportunity in our country, which is still growing quickly. The person who selfishly tries to make the world give him a living, without adding anything to the progress or happiness of humanity, is usually punished by failure. The sad part is that when he falls, he also brings heartbreak and misery to other people who did nothing to cause it.

The Generosity of Service

The most generous people in the world are probably the very poor. They carry each other's burdens in the emergencies that so often come to people who are struggling. A mother living in a crowded apartment building falls sick, and the neighbour in the next room takes over her work. A father loses his job, and the neighbours feed his children from their own small supply of food. How often we hear of orphans being taken in and raised by a poor friend, even though this kindness means great extra hardship! This kind of real service makes even the most generous gift from a rich person's extra wealth look very small. For centuries, the Jewish people have had a rule that one-tenth of a person's possessions must be given to good causes. But even this amount is only a rough measure. For some people, giving a tenth of their income is almost impossible. For others, it is a tiny, miserable amount. If the right spirit is there, people soon stop thinking about the exact proportion. Only the spirit of giving matters, and the very poor give without even thinking about it. But I am afraid I am speaking in general terms again.

When I was young, the way children were raised may have been strict. Still, I have always been grateful that it was common to teach young people to give regularly from money they had earned themselves. It is good to help children understand early how important their duties to others are. But I admit this is becoming harder, because things that were luxuries then have become ordinary now.

Giving money to a good cause should bring more pleasure and satisfaction than earning it. I have always hoped that during my life I would be able to help make giving more efficient, so that wealth can be more useful to people today and to future generations.

Perhaps this is exactly where the difference lies between giving money and giving service. The poor respond quickly to the troubles that hit their neighbour's home and family. But the person who gives money, if his gift is going to be valuable, must also give service in the form of study. He must help to tackle and improve the deeper conditions behind the problems. Because he is not under such painful pressure from daily needs, he should be better able to approach the problem in a more scientific way. But in the end, the conclusion is the same: his money is a weak offering unless there is study behind it to make sure it is spent effectively.

Great hospitals run by noble and unselfish men and women are doing wonderful work. But just as important are the achievements of research, which discover facts about diseases that were unknown before and provide the cures that can ease many of them, or even wipe them out.

Helping the sick and suffering always appeals to kind-hearted people. But helping the researcher who is successfully attacking the causes of sickness and suffering does not attract donors as strongly. The first appeals powerfully to the feelings, while the second requires the use of the mind. Still, I am sure we are making wonderful progress in this area of scientific giving. All over the

world, it is clear that we need to deal with questions of philanthropy using something more than emotional impulses. Everywhere, help is being given to the heroic men and women who are dedicating themselves to practical and basically scientific work. It is good and inspiring to remember sometimes the heroism of, for example, the men who risked and gave their lives to discover the facts about yellow fever. Countless future generations will bless them for that sacrifice. This same spirit has driven the professions of medicine and surgery.

Scientific Research

How far can this spirit of sacrifice reasonably go? Every year, a great number of scientists give up everything in order to make some useful contribution to the total of human knowledge. I have sometimes thought that the good people who criticize them easily and freely hardly understand what that criticism really means. It is one thing to stand on the comfortable ground of calm inaction and offer cynical words of wisdom. It is another thing to throw yourself into the work and, through hard experience, earn the right to state strong conclusions.

As for me, I have mostly been a calm observer. So I have not had the boldness even to suggest how people who are far more experienced and wise in these matters than I am should work out the details, even of the plans I have had the honour of being connected with.

There has been a lot of criticism, no doubt sincere, of experiments on living animals. The person who defends the helpless animal makes such a powerful appeal to the emotions that it is perhaps useless to mention the other side of the debate. Dr. Simon Flexner, of the Institute for Medical Research [the Rockefeller Institute for Medical Research in New York], has had to face exaggerated and even sensational reports that have no basis in truth at all. But think for a moment about what was recently achieved under Dr. Flexner's direction: the discovery of a treatment for epidemic cerebrospinal meningitis [a dangerous infection of the brain and spinal cord]. It is true that, as I understand it, perhaps fifteen animals were sacrificed to discover this cure, most of them monkeys. But for each animal that lost its life, dozens of human lives have already been saved. Big-hearted men like Dr. Flexner and his colleagues do not allow helpless animals to suffer unnecessary pain.

I have been deeply interested in the story of a desperate experiment to save a child's life. It was told in a letter written by one of my associates soon after the event, and I think it is worth repeating. Dr. Alexis Carrel has worked with Dr. Flexner, and his wonderful skill comes from his experiments and experience.

A Wonderful Surgical Operation

"Dr. Alexis Carrel, one of the Institute's staff, has been doing some interesting studies in experimental surgery. He has successfully transplanted organs from one animal to

another, and blood vessels from one species to another. Recently he had the chance to use the skill he gained this way to save a human life. The circumstances attracted great interest among the doctors of this city. One of the best-known younger surgeons in New York had a child born early last March. The baby developed a disease in which, for some reason, blood leaks out of the blood vessels into the tissues of the body. Usually the child dies from this internal bleeding. When this child was five days old, it was clear that it was dying. The father, his brother (who is one of the most distinguished men in the profession), and one or two other doctors discussed the case together, but they considered it completely hopeless.

“It happened that the father had been impressed by Dr. Carrel’s work at the Institute, and he had spent several days with him studying his methods. He became convinced that the only chance of saving the child’s life was a direct transfusion of blood. This had been done between adults, but the blood vessels of a young baby are so delicate that the operation seemed impossible to carry out successfully. It is not enough simply to join the blood vessels of the two people together. They must be joined in such a way that the inner lining of the vessels, which is a smooth, shiny tissue, continues without a break. If the blood touches the muscle layer of the blood vessels, it will clot and stop the circulation.

“Luckily, Dr. Carrel had been experimenting on the blood vessels of some very young animals. The father was

convinced that if any man in the country could perform the operation successfully, it would be him.

“By then it was the middle of the night. But Dr. Carrel was called. When the situation was explained to him, and it was made clear that the child would die anyway, he willingly agreed to attempt the operation, although he said he had very little hope that it would succeed.

“The father offered to be the one whose blood would be given to the child. It was impossible to give anaesthetics [drugs that stop pain] to either of them. In a child that age, there is only one vein large enough to use, and it lies deep in the back of the leg. A well-known surgeon who was present uncovered this vein. He said afterward that the child showed no sign of life, and he believed that the child had been, for all practical purposes, dead for ten minutes. Because of its condition, he asked whether it was worth continuing the attempt. The father, however, insisted on going on. The surgeon then uncovered the radial artery in the father’s wrist. He had to cut it free for about six inches so that he could pull it out far enough to connect it to the child’s vein.

“The surgeon who did this part of the work later called it ‘the blacksmith part of the job.’ He said that the child’s vein was about the size of a match and as soft as wet cigarette paper. It seemed completely impossible for anyone to join these two vessels successfully. Dr. Carrel, however, did it. Then came what the doctors present described as one of the most dramatic moments in the history of surgery. The blood from the father’s artery was

released and began to flow into the child's body, about a pint in all [roughly half a litre]. The first sign of life was a little pink color at the top of one ear. Then the lips, which had turned completely blue, began to turn red. Then suddenly, as if the child had been lifted out of a hot mustard bath, a pink glow spread over its whole body, and it began to cry loudly. After about eight minutes, the two were separated. By then the child was crying for food. It was fed, and from that moment it began to eat and sleep normally, and it recovered completely.

"The father later appeared before a committee of the state legislature in Albany to oppose certain bills, discussed in the last session, that would have restricted experiments on animals. He told this story. At the end he said that when he first saw Dr. Carrel's experiments, he had no idea they would so soon be used to save human lives. Even less did he imagine that the life to be saved would be his own child's."

The Basic Principle of All Help

If people can be taught to help themselves, we attack the root of many of the world's problems. This is the most basic principle. It is worth saying, even though it has been said so often that people lose sight of its truth because it is repeated so much.

The only thing that truly benefits a person in the long run is what he does for himself. Money that comes to someone without effort is rarely a benefit and is often a curse. That

is the main objection to speculation [risky buying and selling in hope of quick profit]. The problem is not that more people lose than win, although that is true. The problem is that those who win are likely to be more harmed by their success than they would have been by failure. The same is true of money or other things that one person gives to another. Only in unusual cases does the person receiving really benefit. But if we can help people to help themselves, then we give them a lasting blessing.

Scientists who study disease tell us that it is becoming clearer and clearer that the forces that defeat sickness are inside the body itself. Disease can only take hold when these forces fall below their normal strength. So the way to prevent disease is to strengthen the body in general. And when disease has taken hold, the way to fight it is to support the natural defences that are already in the body. In the same way, the failures a man has in his life almost always come from some weakness in his personality: some weakness of body, mind, character, will, or temperament. The only way to overcome these weaknesses is to build up his personality from the inside, so that, through his own inner strength, he can overcome the weakness that caused the failure. Only the efforts a man makes himself can really help him.

We all want to see the good things in life shared as widely as possible. Many crude plans have been proposed. Some of them completely ignore the basic facts of human nature, and if they were carried out, they might drag our whole civilization down into hopeless misery. I believe the main

cause of economic differences between people is the difference in their personalities. Only by helping to spread more widely the qualities that make a strong personality can we help to spread wealth more widely. In normal conditions, a man who is strong in body, mind, character, and will never needs to go without what he needs. But these qualities can only be developed through a man's own efforts. The most anyone else can do for him, as I have said, is to help him help himself.

We must always remember that there is not enough money for the work of improving human life, and there never can be. So how extremely important it is that the money spent should go as far as possible and be used with the greatest intelligence!

I have said openly that I believe in the spirit of combination and cooperation in business, when it is carried out properly and fairly. I believe in it because it helps to reduce waste, and waste is a loss of power. I sincerely hope, and fully believe, that this same principle will one day be used in the art of giving just as it is in business. This is not only a trend caused by the tougher conditions in industry today. It should also appeal most strongly to the hearts of people who are trying to do the most good for the greatest number.

Some Basic Principles

I risk making this chapter very dull, and I am told that inexperienced authors should avoid that at all costs. Still, I

hope I may be forgiven if I write down here some of the basic principles that have been behind all my own plans. For many years, I have not taken on any important work that did not, in a general way, follow these broad lines. I believe that no truly constructive work in philanthropy is possible without such a clear and consistent purpose.

Here is how I first came to believe that an organized plan was absolutely necessary.

Around 1890, I was still giving in a random way, here and there, as requests came to me. I investigated them as well as I could, and I worked myself almost to a nervous breakdown trying to feel my way, without enough guidance or a map, through this ever-growing field of charitable work. I was then forced to see that we had to organize and plan this part of our daily work along clear lines of progress, just as we did with our business. I will try to describe the basic principles we arrived at. We have followed them since then, and I hope to expand them greatly.

It may be in poor taste to speak at all about such a personal subject. I am aware of this. But I can make these comments a little more comfortably because so much of the hard work and hard thinking is done by my family and associates, who give their lives to it.

Every sensible person has a philosophy of life, whether he knows it or not. Somewhere in his mind are certain guiding principles that control his life, whether he puts them into words or not. Surely his ideal should be to

contribute everything he can to human progress, however little it may be, whether in money or in service.

Certainly a person's ideal should be to use his resources, both in his investments and in his gifts, to advance civilization. But people have seriously studied what civilization is and what great laws control its progress. We have directed our investments, just as much as our gifts, toward the goals we believed would produce these results. Suppose you went to our office and asked our committee on giving, or our committee on investment, what they think civilization consists of. They would tell you that, through their study, they have found that the most useful way to break down the parts of civilization is roughly as follows:

1st. Progress in the means of living. This means progress in the amount and variety of food, clothing, housing, sanitation, public health, trade, manufacturing, the growth of public wealth, and so on.

2nd. Progress in government and law. This means passing laws that give justice and fairness to every person, while allowing the greatest possible individual freedom, and enforcing these laws properly and in an orderly way on everyone.

3rd. Progress in literature and language.

4th. Progress in science and philosophy.

5th. Progress in art and refinement [good taste and culture].

6th. Progress in morality and religion.

People often ask them which of these they consider the most basic. They would answer that they would not try to answer, because the question is purely theoretical, and all of these move forward together. But historically, they would say, the first one, progress in the means of living, has usually come before progress in government, literature, knowledge, refinement, and religion. Although it is not itself the most important, it is the foundation on which the whole structure of civilization is built, and without it civilization could not exist.

So, as far as we could, we have tried to invest in ways that would multiply the comforts of life, make them cheaper, and spread them as widely as possible. We claim no credit for preferring these kinds of investments. We make no sacrifices. These are the investments that give the largest and most reliable returns. In this one area, that is, in how cheap, easy to get, and widely available the means of living are, our country is far ahead of any other in the world, although we are perhaps behind other countries in most of the other areas.

Someone may ask: “How can huge amounts of money in the hands of single individuals fit with spreading these blessings to everyone?” My answer is this. Although wealthy men control great sums of money, they do not and cannot use it for themselves. They do legally own large properties, and they do control how they are invested, but that is as far as their relationship to that money goes, or can go. The money is spread to everyone, in the sense that

it is kept invested, and it goes into workers' pay envelopes week after week.

So far, no plan has appeared that seems to offer a better way of managing capital than private ownership. We could put our money into the treasury of the national government and of the various states. But based on past experience, we see no promise that the national or state legislatures would spend the money for the public good more effectively than it is spent now. Nor do we see, in any of the plans of socialism, a promise that wealth would be managed more wisely for the general good. It is the duty of wealthy men to keep ownership of their property and to manage their money until some person, or group of people, appears who can manage the country's capital for the general good better than they can.

The next four elements of progress in the list above are progress in government and law, in language and literature, in science and philosophy, and in art and refinement. We ourselves have believed that these are best advanced through higher education. So we have had the great satisfaction of putting whatever money we could into different kinds of education, in our own country and abroad. And by education we do not only mean spreading what is already known more widely. We mean just as much, and perhaps even more, supporting original research. A single school or university can only have a small range of influence. It can reach only a limited number of people. But every new fact that is discovered, and every expansion of human knowledge through research, becomes known to

all schools and universities everywhere and immediately becomes a gift to the whole human race.

Just as interesting as any other part of the work have been the new directions our committee has taken. We have not been satisfied with simply giving to causes that appealed to us. We have felt that the mere fact that one cause or another asks us for help is no reason to give to it rather than to a thousand other causes, perhaps more deserving, that we simply have not noticed. A personal request does not create a claim that did not exist before. It does not give a cause priority over more deserving causes that may not have asked. So this small committee of ours has not been willing to let our giving drift wherever it is most convenient, giving to the institutions that asked for help and ignoring the others. This department has studied the whole field of human progress and tried to contribute to each of the elements that we believe do the most to advance it. Where it has not found existing organizations ready for that purpose, the committee members have tried to create them. We are still working along new and, I hope, growing lines that demand a lot of intelligence and study.

This so-called improvement work has always been very interesting to me, and it has had a great influence on my life. I mention it here because I want to stress how important it is for a father to stay close to his children. He should share his thinking with his daughters as well as his sons. In this way they learn by seeing and doing, and they take part in the family's responsibilities. Just as my father taught me, I have tried to teach my children. For years it

was our habit to read aloud at the dinner table the letters we received about the various charities we were involved with. We studied the requests made for good causes, and we followed the history and reports of the institutions and charitable cases we were interested in.

Chapter VII: The Benevolent Trust — The Value of the Cooperative Principle in Giving

In the last chapter, under the title “The Difficult Art of Giving,” I discussed how to make charitable gifts more and more effective. I want to go one step further here. I am tempted to take this chance to talk a little about combining efforts in charitable work. This has been something of a hobby of mine for many years.

If businesses that join together can cut waste and get better results, why shouldn’t combination be even more important in charity work? I have felt that the general idea of cooperation in giving to education took a real step forward when Mr. Andrew Carnegie agreed to become a member of the General Education Board. By accepting a seat on this board, he has, it seems to me, given his approval to this vital principle: that we should cooperate when we help the schools and colleges of our country.

Like everyone, I am glad of Mr. Carnegie’s enthusiasm for using his wealth to help people less fortunate than himself. I think his devotion to the welfare of his adopted country

[Carnegie was born in Scotland] has set a striking example for all time.

The General Education Board, which Mr. Carnegie has now joined, is an interesting example of an organization created for one purpose: to work out, in an orderly and fairly scientific way, how to encourage and improve education in every part of our country. Of course, no one can tell what this organization may eventually achieve. But under its current board of directors, it will surely go very far. Here again, I feel I can speak openly and say that I personally believe it will succeed. After all, I am not a member of the board, I have never attended a meeting, and all the work is done by other people.

There are some other, larger plans, thought out carefully and broadly, that I have been studying for many years. We can see them starting to take definite shape. It is good to know that there are always unselfish men of the highest quality ready to help with every large charitable project. One of the most satisfying and encouraging pieces of good luck I have had is seeing that so many busy people are willing to step away from their demanding jobs. They give their best thinking and energy, without pay, to the work of improving people's lives. Doctors, ministers, and lawyers, as well as many first-class businessmen, are putting their best and most unselfish efforts into some of the plans we are all trying to work out.

Take one example out of many similar cases: Mr. Robert C. Ogden. For years he was busy running a demanding business. Even so, driven by wonderful enthusiasm, he

found time to put the force of his own personality behind work in difficult parts of the educational world. In particular, he worked to improve the public school system of the South. His efforts have been wisely aimed at basic problems, and they are bound to produce results for years to come.

Fortunately, my children have been as serious as I am about this, and much more hardworking. They have carefully and intelligently carried on the work that was already started. They agree with me that we should put at least as much energy and thought into using money properly and effectively, once we have it, as we put into earning it.

The General Education Board has made, or is making, a careful study of the colleges and universities of the United States. It looks at where each one is located, its goals, its work, its resources, how it is run, and how valuable it is for education, both now and in the future. The board gives about two million dollars a year on average. It decides where to give based on a very careful comparison of needs and opportunities across the whole country. Its records are open to everyone. Many people who donate to education are already using these impartial studies, and we hope more will do so.

A large number of individuals give money to support schools and colleges in our country. Helping a school that is badly run, badly located, or simply not needed is a waste. People who have studied this problem very carefully tell me something striking. It is quite likely that

so much money has been wasted on unwise education projects that, if it had been properly directed, it could have built a national system of higher education big enough for all our needs. Many of the kind people who give to education should think more about checking the projects they are being pressured to support. This checking should look at the kind of people who run each project, where it is located, and what other schools nearby already offer. A thorough study like this is usually impossible for one person to do alone. So he either refuses to give because he lacks accurate information, or he may give without thinking it through. But if the General Education Board does this research, and does it well, through intelligent, skilled, and caring staff trained for the job, it provides an important and much-needed service.

The walls that keep different religious groups apart are quickly disappearing, as they should. The best people are now standing side by side as they take on the great problems of improving life for everyone.

Roman Catholic Charities

At this point, I want to state something from my own experience. The Roman Catholic Church has gone a long way in this direction. I have been surprised to learn how far a given amount of money goes in the hands of priests and nuns, and how effectively they really use it. I fully value the excellent service of other workers in the field. But I have seen the Roman Catholic Church’s organization get better results from a given amount of money than

other church organizations usually get from the same spending. I mention this only to show the value of organization, which I believe in so strongly. There is no need to go on about the centuries of experience the Church of Rome has had to build up its great power of organization.

Studying these problems has been one of my greatest interests. My assistants, who are completely separate from any board, have an organization large enough to look into the many requests that come to us. This is done from our committee's office in New York. It would be impossible for one person to try to follow individual cases closely. I am asked to explain this many times. No single man could read the hundreds of letters that arrive at our office every day. Surely, if the many good people who write to us would think about it a little, they would realize that I cannot personally consider their requests.

The plan we have worked out, and which I hope we have improved year after year, came from experience. I mention it now only as one contribution to a general subject that matters so much to serious people. That must be my excuse for speaking so openly.

The Appeals That Come

Every day, hundreds of letters asking for help arrive at my office. They are read, sorted, and investigated by a department set up for this purpose. The task is not as hard as it might seem at first. The letters are certainly very

varied. They come from all kinds of people in every situation in life, and from every part of the world. However, four out of five of these letters ask for money for personal use, and their only claim is that the writer would be happy to have it.

What remains are many requests that everyone would agree deserve attention. These can be roughly divided as follows.

First, the claims of local charities. The town or city where you live has a clear claim on all its citizens, and every good neighbor will want to work together with friends and fellow townspeople. But these local charities, such as hospitals, kindergartens, and similar groups, should not ask for help outside the local communities they serve. The burden should be carried by the people who live there and who are, or should be, most familiar with local needs.

Next come the national and international claims. These rightly appeal especially to wealthy men across the country, whose money allows them to do more than just help support local charities. There are many large national and international charitable and Christian organizations that cover the whole field of worldwide charity. People who are thought to be rich all receive requests for personal help from individual workers around the world. Even so, the careful and thoughtful giver will more and more choose these large, responsible organizations as the channel for his gifts and for sending his money to faraway places. This has been my habit, and my daily experience only proves again that it is wise.

Long years of experience have shown me the great value of working with an organization that knows all the facts and can best decide exactly where help will do the most good. For example, suppose someone asks you to give money to a certain mission field for a specific purpose, say, a hospital. Doing this will cost, let us say, $10,000. Giving this amount seems wise and natural. The missionary who wants the money works under the direction of a strong and capable religious denomination.

Now suppose the request is sent to the manager of that denomination's board. It turns out there are many good reasons why a new hospital is not really needed in that spot. With a little good management, this missionary's needs can be met by another hospital nearby. Meanwhile, another missionary in another place has no chance of getting any hospital services at all. There is no question that the money should be spent in that second place. The managers of all the mission stations know these facts, even though the person giving the money may never have heard of them. In my judgment, the giver is wise not to act until he has talked with these men who know more.

It is interesting to watch the reasoning some very good people use to quiet their consciences when they think about what their duty really is. For example, one man says, "I do not believe in giving money to street beggars." I agree with him. I do not believe in the practice either. But that is no reason to excuse yourself from doing something about the problem that the street beggar represents. In fact, precisely because you refuse to give in to the

pleading of such people, you should join and support the charity organization societies in your own area. These societies treat these people fairly and humanely and separate those who truly deserve help from those who do not.

Another man says, “I don’t give to this or that board, because I have read that only half or less of the money given actually reaches the person who needs help.” This is often not true, as has been shown again and again. And even if it were partly true, it would not free the possible giver from the duty to help make the organization work better. It is never, under any circumstances, a good excuse for closing your wallet and putting the whole subject out of your mind.

Institutions as They Relate to Each Other

Surely it is wise to be careful not to repeat work others are already doing. We should not start new charities in areas that are already covered. Instead, we should strengthen and improve the ones already at work. There is a great deal of competition and a huge amount of duplication. One of the hardest things about giving is finding out when an area is already fully covered. Many people only ask whether the institution they are giving to is carefully and well run. They do not stop to check whether others are already doing the same work. For this reason, you should never study a single institution by itself. Always study it in relation to all similar institutions in the same area. Here is an example:

A group of enthusiastic people had a plan to start an orphanage, which was to be run by one of our strongest religious denominations. They began raising the money needed. One of the people asked to give was a man who always made a habit of studying the situation carefully before promising a donation. He asked one of the organizers several questions. How many beds did the existing orphanages serving this community provide? How efficient were they? Where were they located? And what particular kind of institution was missing in the community?

Nobody could answer any of these questions. So he had the information gathered himself, hoping to help make the new plan effective. His research showed that the city where the new orphanage was to be built already had plenty of such institutions. In fact, there were far more beds for children than there were children applying to fill them, and the need was well and fully covered. These facts were shown to the organizers of the project, and it was proven that there was no real need for such an institution. I wish I could add that the plan was dropped. It was not. Such charities are seldom dropped once the sympathy of good people has been fully won, however poorly informed those people may be.

Someone may argue that doing this work in such a systematic and seemingly cold-hearted way largely ignores the merits of individual cases. My answer is that organizing work through combined effort should not, and does not, crush the work of individuals. It strengthens and

encourages it. Orderly, combined charitable effort grows every day. At the same time, a broad spirit of charity has never been as widespread as it is now.

The Claim of Higher Education

A giver who works out these problems for himself will no doubt have many critics. So many people see the urgent needs of everyday life that perhaps they fail to notice needs that are less obvious but even more important. One example is the great claim of higher education. Ignorance is the cause of much of the poverty and a huge amount of the crime in the world. That is why we need education. If we support the highest forms of education, in any field, we have the widest possible influence in pushing back the limits of human knowledge. This is because every new fact that is discovered or put into use becomes something all of humanity inherits. I think we cannot overstate how important this is. The simple fact that most of the great achievements in science, medicine, art, and literature are the finest product of higher education is proof enough. Someday a great writer will show how these things have served the needs of all the people, educated and uneducated, high and low, rich and poor, and made life more like what we all want it to be.

The best charity is always searching for the root of things. It looks for causes and tries to cure problems at their source. My interest in the University of Chicago has grown because, while it has fully covered all the other parts of a

college education, it has paid so much attention to research.

Dr. William R. Harper

Whenever I mention this promising young university, I think of Dr. William R. Harper. He was so enthusiastic about its work that no vision of its future seemed too big to him.

I first met Dr. Harper at Vassar College, where one of my daughters was a student. He used to come as the guest of the college president, Dr. James M. Taylor, to give lectures on Sundays. I often spent weekends there, so I saw a lot of the young professor, who was then teaching at Yale, and talked with him often. I caught some of his enthusiasm, as if it were contagious.

After the university was founded and he became its president, our great goal was to hire the best teachers. We also wanted to organize the new institution according to the most modern ideas, free from old traditions. He raised millions of dollars from the people of Chicago and the Middle West, and he won the personal interest of their leading citizens. This was his great strength. He got not only their money but also their loyal support and strong personal interest, which is the best kind of help and cooperation. He built even better than he realized. The high ideals he built into the university awakened a deeper interest in higher education throughout the Central West. They moved individuals, religious denominations, and state

legislatures to take effective action. The world will probably never realize how much of today's excellent university system in the Central Western states is due, indirectly, to this man's genius.

Along with his extraordinary capacity for work and his skill at leading and organizing, Dr. Harper was a man of wonderful personal charm. We count it among the richest and most pleasant experiences of our family life that Dr. and Mrs. Harper could sometimes spend a few days with us, as a short break from the demanding worries and duties of running the university. As a friend and companion in everyday life, no one could have been more delightful.

I have been lucky enough to give money at various times to the University of Chicago, where Dr. Harper was president. At those times, the newspapers, quite understandably, assumed that he used our personal friendship to get these donations. The cartoonists found this a rich subject. They would draw Dr. Harper as a hypnotist casting his magic spell over me. Or they would show him forcing his way into my private office, where I was drawn busy clipping coupons [cutting interest coupons off bonds to collect payments]. In the cartoons, I would drop this pleasant activity and immediately escape out the window as soon as I saw him. Or they would show me running away across rivers on floating blocks of ice, with Dr. Harper chasing close behind. Or perhaps he would be following right on my trail into remote country hideaways, like the wolf in the Russian story. I would escape only because of the short delays I caused him by

dropping a million-dollar bill every now and then, which he had to stop and pick up.

These cartoons were meant to be very funny, and some of them really did have some humor in them. But Dr. Harper never found them funny. In fact, they deeply embarrassed him. I am sure that if he were alive, he would be glad to have me say what I say now: during the whole time he was president of the University of Chicago, he never once wrote me a letter or asked me in person for a single dollar for the university. In all our close daily time together in my home, the university's finances were never brought up or discussed.

The process in this case was basically the same as for all our other donations. The university's needs were presented in writing by its officers, whose special job is to prepare its budgets and manage its finances. Every year, at a set time, a committee of the trustees, together with the president, met with our Department of Benevolence [our charitable giving office] to discuss the university's needs. Their conclusions have usually been completely unanimous, and so far I have found no reason to depart seriously from their recommendations. There have been no personal meetings and no personal requests. It has been a pleasure for me to make these donations. But that pleasure came from the facts that the university is located in a great center of the nation's growth, that it has won the affection and interest of the people around it, and that it is doing great and needed work. In short, it has been able to attract its supporters' donations in both the East

and the West, and to prove it deserved them. It is not personal meetings and emotional appeals, but solid and proven value, that should attract and win charitable money.

Large numbers of people constantly press me for personal meetings on behalf of causes they care about. They are wrong to think that a meeting, even if it were possible, is the best way, or even a good way, to get what they want. Our practice has always been to ask applicants to explain their cases in writing, briefly but as fully as they think necessary. Their applications are carefully considered by very capable people chosen for this job. If our assistants then decide that a personal meeting would be useful, our office invites the applicant to one. Written requests are the necessary foundation for investigating, for discussion and comparing opinions among the different members of our staff, and for the final presentation to me.

It is impossible to run this part of our work any other way. We enforce and stick to the rule of written requests instead of meetings. We do this not, as the applicant sometimes thinks, to coldly turn him away. We do it to make sure that his cause, if it is a good one, gets the careful consideration it deserves, which it cannot get in a short spoken conversation.

The Reason for Conditional Gifts

It is easy to do harm when giving money. Giving to institutions that should be supported by others is not the

best kind of charity. Such giving only dries up the natural sources of charity.

It is very important for every charitable institution to have, at all times, the largest possible number of regular donors. This means the institution must keep making its appeals. But if these constant appeals are to succeed, the institution is forced to do excellent work and meet real and obvious needs. Also, the interest of many people is the best guarantee of careful spending and unselfish management, as well as of continued support.

We often make our gifts conditional on others giving too. We do not do this because we want to force people to do their duty. We do it because we want to root the institution in the affection of as many people as possible. As donors, these people become personally involved, and after that they can be counted on to give the institution their watchful interest and cooperation. Conditional gifts are often criticized, sometimes perhaps by people who have not fully thought the matter through.

Criticism that is careful, calm, and fair is always valuable, and everyone who wants progress should welcome it. I have received at least my full share of negative criticism. But I can honestly say that it has not made me bitter or left me with hard feelings toward anyone alive. Nor do I want to criticize people whose honest opinions, openly stated, differ from mine. However loud the pessimists may be, we know the world is getting better, steadily and quickly. That is a good thing to remember in our moments of discouragement or embarrassment.

The Benevolent Trusts

Let me return to the subject of the Benevolent Trusts. This is a name for corporations that would manage the business side of charitable giving. The idea needs, and must have if it is to succeed, the help of men trained in practical work. The best businessmen should be drawn to the good it could do. When it is finally worked out, as it will be in some form, and probably in a better form than we can predict now, how worthy it will be of the efforts of our ablest men!

We will have the best charities supported generously and fully. They will be managed with scientific efficiency by the ablest men. These men will gladly be held strictly responsible to the donors, not only for handling the money correctly, but also for the intelligent and effective use of every penny. Today, the whole system of charity is run on more or less random principles. Good men and women are wearing out their lives raising money to keep institutions going, and those institutions are run by more or less unskilled methods. This is a tremendous waste of our best people.

We cannot afford to have great people, who are capable of doing the most effective work, slaving away to raise money. That should be a businessman’s job, and he should be fully in charge of managing the expenses. The teachers, the workers, and the inspired leaders of the people should be freed from these urgent and petty money worries. They have more than enough to do in working their huge field,

which is never fully covered. They should be free of any worry that might in any way distract them from that work.

When these Benevolent Trusts actually come into being, organizations like these, built on broad lines, will surely attract the best minds in our business world, just as great business opportunities attract them now. Our successful businessmen as a group have a high standard of honor, and the exceptions only prove the rule. I have sometimes been tempted to say that our ministers could gain by understanding the basics of business life better. I think closer contact with businessmen would benefit both groups. People who have dealt a lot with ministers, and with those who hold positions of trust in our churches, have sometimes had surprising experiences with the way church business is occasionally handled. This is because these good men have had so little business training in the everyday working world.

The whole system of proper relationships, whether in business, in the Church, or in the sciences, rests on honor. Capable businessmen try to deal only with people who tell the truth and keep their promises. Church representatives often tend to attack businessmen as a symbol of selfishness and meanness. But they have some great lessons to learn, and they will gladly learn them as these two kinds of workers grow closer together.

When the Benevolent Trusts come, they will raise these standards. They will face the facts. They will praise and support the effective workers and institutions. And they will raise the standard of intelligent, good work, mainly by

helping all people to help themselves. There are already signs that these combinations are coming, and coming quickly. On the boards of these trusts you will eventually find the finest men in America: men who not only know how to make money, but who accept the great responsibility of using it wisely.

A few years ago, at the tenth anniversary of the University of Chicago, I was at a university dinner. I had been asked to speak, so I had written down a few notes.

When the time came to stand up and face the guests, who were men of value and standing, my notes meant nothing to me. As I thought about the hidden power for good that these rich and influential people held, I was deeply moved. I threw down my notes and began to plead for my Benevolent Trust plan.

“You men,” I said, “are always planning to do something for good causes. I know how very busy you are. You work on a treadmill that you see no way to get off. I can easily understand that you feel you do not have the time right now to carefully study the needs of humanity. So you wait to give until you have thought about many things and decided on some course of action. Now, why not treat what you can give to others the same way you treat what you want to keep for yourselves and your children? Put it into a trust. You would not put a fortune for your children into the hands of an inexperienced person, no matter how good he might be. Let us be as careful with the money we plan to spend for the good of others as we would be if we were saving it for our own family’s future. Directors handle

these matters for you. Let us create a foundation, a trust, and hire directors who will make it their life's work to manage this business of charity properly and effectively, with our personal cooperation. And I beg you, take care of it now. Don't wait."

I admit I felt very strongly about this subject, and I still do.